



Value creation in non-profit member organisations:

Building the membership base and improving the brand through social media

Sue Arundale

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Abstract

Non-profit organisations that provide “nice to have” information and networking support services to members need to demonstrate their value if they are to retain and expand their member base. When non-essential purchases become the target of cost-cutting by their members, these organisations cannot rely on customer loyalty alone to avoid cancelled subscriptions. Long-term membership decline in one such organisation, “The Foundation” (pseudonym) prompted the CEO to speculate that the concept of membership was simply outdated. His ruminating triggered this research, the aim of which was to find out whether his organisation in particular could create sufficient value for its members to sustain membership as its key revenue generator. The study investigated whether social media, in the form of social networking sites (Facebook™, Linked In™ etc.) and user-generated information sites (sometimes known as “wikis”) had replaced what this non-profit foundation was offering members. It also explored the extent of the link between the members’ passion for The Foundation’s core mission and the extent of their loyalty, manifested by the continuation or cancellation of their membership.

The short-term exploratory study was set in the context of previous research on strategic position, strategic capability, non-profit member organisations and social media. The mixed methods approach collected both quantitative and qualitative data, from a sample of existing and former members using a web-based questionnaire and semi-structured telephone interviews. The researcher was The Foundation’s manager responsible for member relations.

The study found that The Foundation could potentially create value for members. Moreover, it found that far from replacing services, social media presented an unexploited opportunity to increase value. Finally, the study concluded that in the absence of an offer that added value for members, their passion alone for The Foundation’s mission was not sufficient to maintain loyalty over the long term.

The wider findings of the study imply that member organisations in general still have an important role and can add value, but they need to adapt their services to take advantage of the potential of social media to improve the offer to members, nurturing loyalty, building, engaging and maintaining communities. This supports the findings of the relevant (limited) previous research. Moreover, the study’s conclusion that social media have not replaced key services of member organisations goes further than previous research, which appears to merely speculate on this point.

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Chapter 1: Introduction

This research is about value creation for members of non-profit organisations. A service that is non-essential, such as a membership subscription to a foundation, can be considered valuable if it is consistently useful to the customer and if the customer considers that the service is worth at least as much as the price being paid (Golub and Henry, 2000). The research relates to the concepts of strategic position, strategic capability and innovation. There is much established literature on these concepts, particularly for private companies. There is also a wealth of material on non-profit organisations, most of which is designed to help leaders make more of an impact on their chosen cause and on the community they are trying to help.

From the relevant previous research, some key theories have come to be accepted as conventional wisdom. The need for organisations to have a clear strategy (Johnson et al, 2008), understand their market and wider environment (Porter, 1980) the exploitation of unique capabilities (Eisenhardt and Santos, 2001) and the need for a clear value proposition that is precisely targeted to a specific customer segment (Kaplan and Norton, 2001): these notions form the fundamentals of contemporary management theory. Good strategic analysis is advocated by many writers as a panacea, although others such as Pfeffer and Sutton (2006) caution against over-emphasis on strategy at the expense of day to day action.

The literature on non-profit organisations focuses on the sector's challenges on the one hand and best practice solutions on the other. Common topics include funding (Bell et al, 2010; Kanter and Fine, 2010; Neff and Moss, 2011), engaging volunteers and donors (Drucker, 1990; Crutchfield and McLeod Grant, 2008; Kanter and Fine, 2010; Neff and Moss, 2011) and lobbying (Crutchfield and McLeod Grant, 2008).

A relatively new field of research relevant to this paper is that of social media. Some of the non-profit experts above advise leaders to exploit social networks and on-line communities (Kanter and Fine, 2010; Neff and Moss, 2011). Other writers, such as Qualman (2011) advocate the benefits of social media for all of us in both our personal and professional lives.

What the existing research seems to lack is a focus on a specific kind of non-profit organisation, i.e. the member organisation/association. Indeed, Crutchfield and McLeod Grant (2008) for example, specifically *exclude* member organisations from their research. Moreover, the existing material covers non-profits that are working for social change – think of the classic “worthy cause”:

supporting ethnic minorities, protecting animals, helping the homeless etc. However, there are many non-profit member organisations that are supporting communities with interests that are not related to social problems, but more to certain professions, business challenges etc. These non-profit organisations appear to have been ignored by relevant research and the classic approaches do not offer all the answers.

Such organisations often rely on members to provide revenue and enable them to continue delivering a service, which might not be provided if they did not exist. But many are facing declining membership and are struggling to add value for their communities, for which membership fees represent *discretionary spend*. Some member organisations are citing social media as a threat, providing a competing source of information (Maene, 2010).

With all of this in mind, this paper explores issues that do not appear to have been widely researched already and which are specifically relevant to the kind of non-profit organisations that rely significantly on membership revenue, while offering a service that is often perceived as “nice to have” rather than essential.

The research sample came from the current and former membership of one such organisation. “The Foundation” (pseudonym) is a non-profit organisation, established in 1989 to improve the competitiveness of European industry by promoting the concept of quality. The Foundation’s mission today is to encourage the leaders of European organisations to align with the *Fundamental Concepts of Excellence* (EFQM, 2010). The organisation is facing a long-term trend of declining membership and this exploratory study investigated what aspects of membership represent value to the members and whether there is anything that can be done to add further value - or whether “membership” has merely “had its day”.

Research Question

The research paper considered whether or not The Foundation can create sufficient value to sustain membership as its key revenue generator.

Objectives

- To review the literature on strategy, particularly on strategic position, strategic capability and innovation and to review relevant literature on non-profit organisations and member organisations in particular.
- To assess the impact of social media on The Foundation's key membership features – sharing knowledge and best practice and brokering benchmarking and member-to-member relationships – in order to identify whether the organisation's core competences have been substituted in the market.
- To assess whether “supporting the cause” remains a reason for member loyalty.
- To identify what changes, if any, could add value to the membership package.

Research Design

The study was both exploratory (Robson, 2002) and explanatory (Saunders et al, 2009) and used a survey strategy (Denscombe, 2010). Mixed methods were deployed (Saunders et al, 2009; Denscombe, 2010) to obtain both quantitative and qualitative data. An on-line questionnaire collected mainly quantitative, categorical data (Saunders et al, 2009), with some qualitative data coming from optional free text boxes. Qualitative data was collected during semi-structured interviews (Denscombe, 2010) conducted by telephone. More information can be found in Chapter 3.

Structure of Dissertation

Chapter 2 reviews the existing literature and research that forms the body of knowledge relevant to this study. Chapter 3 explains the research design and methodology in detail. The results and analysis can be found in Chapter 4 and they are further discussed in Chapter 5. Chapter 6 contains the conclusions of the study and the recommendations for The Foundation.

Chapter 2: Literature Review

The study explores value creation for members of non-profit organisations, with particular emphasis on the value proposition. *Value* from the perspective of the customer, can be defined in simple terms as the

“greatest amount of money they would be willing to pay for it” (Golub and Henry, 2000:2).

It relates to certain aspects of the broader subject of *strategy*, which can be defined as the

“long-term direction of an organisation” (Johnson et al, 2008:3).

The existing body of knowledge reviewed in this chapter includes literature on strategic analysis of the external environment, strategic capability and inimitability, and generating support in the non-profit sector. Material is compared to establish whether there are different theories for the private and non-profit sector. As the research relates to a specific type of non-profit organisation, the search for relevant literature included a trawl of several subscriber-only sites, in an attempt to find relevant studies on member organisations. What little material emerged is considered in terms of whether or not it deals adequately with the subject of value creation for members of this type of organisation.

Finally, more recent writing on social media is examined. This relatively new subject is relevant to the study as one of the objectives was to look for evidence of substitution by social media, of a key service of member organisations, which is to connect members to each other and disseminate relevant knowledge.

Search for Relevant Literature

As well as the reading list for the MA course in Leading Innovation and Change, issued by the University of York St. John and Robert Kennedy College, Table 1 below shows a list of the main databases of literature and relevant on-line sources that were consulted.

Basis for Selection and Analysis

Relevant literature was selected for its credibility, based on e.g. the reputation of the publisher or the body commissioning the research etc., and it was subsequently analysed according to:

- How its main findings compared to other reviewed findings on the same subject
- Methodology of the research, if relevant (in the cases where this information was provided)
- Its relevance to the non-profit sector.

Table 1: Databases and on-line sources

Source	Examples of Search Terms Used
• York St. John University Library catalogue • The McKinsey Quarterly business journal. Member edition • Strategy and Business magazine • MIT Sloan Management Review • Harvard Business Review • Amazon.co.uk	“Value creation in non-profit/member organisations” “Member organisations” “Declining membership in non-profit organisations” “Strategic position” “Strategic capability” “Product substitution” “Social media” “Inimitability”

Strategy and the Wider Environment

Strategy, defined earlier as “long term direction” (Johnson et al 2008:3), should consider an organisation’s fluctuating external environment (Johnson et al, 2008). Regular analysis of shifts in market demand, relevant technological developments and other key changes can help to form a game plan that responds effectively for the long-term (Johnson et al, 2008). PESTEL analysis provides a comprehensive way of observing the macro-environment, identifying the political, economic,

social, technological, environmental and legal factors that significantly impact the direction of an organisation (Johnson et al, 2008). However, a one-off use of PESTEL is not enough because it can only identify the influencers and does not anticipate exactly how these will change in the future. Therefore, it can only help when repeated regularly.

Strategic analysis also needs to take account of developments within the relevant industry, such as the level of competition and the attractiveness of the market (Johnson et al, 2008). Particularly relevant to the study is the concept of service substitution, found in Porter's *Five Forces* (Porter, 1980). Substitution is not limited to a new product or service which competes with an existing one already on the market. It can come from outside the industry and from other sources, materials or technology etc. The *Five Forces Framework* encourages organisations to look beyond the obvious sources of competition. This requires them to see beyond their blind spots and confront assumptions, especially those that result in complacency about their market position (Johnson et al, 2008). Moreover it applies as much to non-profit organisations as it does to private companies (Bell et al, 2010).

What the above approaches emphasise is the need to anticipate future threats. However, while information helps an organisation to forecast future conditions, it does not make it fit to respond appropriately or rapidly (Carnall, 2007). Conversely, a gloomy macro-environment does not automatically prevent success. Cases such as Southwest Airlines, which flourished in spite of adverse conditions, emphasise this point (Pfeffer and Sutton, 2006).

While Johnson et al (2008) provide comprehensive research on strategy, their case studies are overwhelmingly from private, mainly large companies. Less than 10% of the cases are from outside the private sector and only one is about a non-profit organisation. So the search was extended to look for scholars with a perspective on the importance of strategic planning to non-profit organisations. Bell et al (2010) provide this perspective. Scanning the environment, analysing competitors, aligning leaders and staff to the vision and values are all steps in the process they advocate for non-profit organisations. Unfortunately, in spite of their credentials as researchers, the case studies presented by Bell et al (2010) are fictitious so their book cannot be acknowledged as robust research.

In any case we should not be too quick to conclude from Bell et al (2010) that running a non-profit organisation is the same as running a business. Non-profits have different characteristics to private business and non-profit leaders should not try to emulate common business practices. Collins (2006) – who admits to not being an expert in the non-profit sector – is currently researching non-

profit organisations and finds the same need for discipline as exists in the corporate world. However, he is careful to emphasise that the critical success factors common to both worlds are those factors that are found in *great organisations* in general, not only in *business*. His advice is inspiring but somewhat difficult to implement in a multi-stakeholder non-profit environment, where the various tiers of governance do not always agree amongst themselves on a vision and mission. Admittedly, his research is not yet finished so this criticism applies to what he has written to date.

Even the best strategic plans can be derailed because the assumptions on which they are based do not adequately take account of a range of possible scenarios (Johnson et al, 2008; Neff and Moss, 2011). Although organisations can mitigate for circumstances that could negatively impact their operation - such as emergencies - this kind of risk management tends to be limited to situations that can be anticipated, based on what is *known*. Neff and Moss (2011) tell us that this is not enough. They claim that *futuring* helps organisations to plan for a number of possible operating environments and even suggest the use of professional futurists. However, there is nothing new in the thinking, which appears to merely re-work much of the existing literature on innovation. Neff and Moss (2011) base their conclusions on case studies that are limited to organisations in the USA. They do not comment on any potential lack of applicability of these conclusions (Saunders et al, 2009) with respect to organisations in other parts of the world.

Organisational Capability

Porter's concept of substitution can be compared to the notion of "inimitability" (Johnson et al, 2008). The unique resources and competences of an organisation – its "strategic capability" (Johnson et al, 2008) - are linked to its competitive advantage, which is easily eroded if these can be copied or substituted. One key advantage highlighted by Johnson et al (2008) and Eisenhardt and Santos (2001) is an organisation's knowledge, not only its technical competence but also its knowledge about its customers. Thus the relationship with clients is a key asset, essential to value creation (Kaplan and Norton, 2001).

Strategic capability is synonymous with what an organisation can do well. A more uncompromising approach to building and maintaining competitive advantage is to identify what can be done better than any similar organisation in the world. This is one of three elements that make up the "hedgehog concept" identified as key in the *Good to Great* formula (Collins, 2001). The others are

passion for the product or service delivered and available resources - the latter reflecting Johnson et al (2008) and strategic capability.

Critical to the hedgehog concept, is the dropping of any existing activity that cannot be delivered as the best of its kind in the world and/or the introduction of new activities that can be delivered better than any competitor in the world. This “piercing clarity” (Collins 2006:17) needs to be accompanied by discipline and passion for the product or service delivered. Moreover, Collins suggests that these are even more important in non-profits than in business. Although the hedgehog concept is a high risk approach, requiring accurate judgement and unflinching commitment, it is not without logic as reflected by Beer (2009), whose research included many companies from the USA and beyond. Indeed, the discipline and tenacity needed to implement the hedgehog concept also help to maintain a keen focus on strategy and target customers (Beer, 2009). That said, the challenge lies in maintaining focused opportunity, so that intransigence does not trap organisations into delivering what has been valued in the past (Foster and Kaplan, 2001), overlooking prospects for innovation and an increase in value for the existing customer base.

The hedgehog concept has relevance in both the private and non-profit sectors, but the passion factor seems to have greater pertinence for the non-profit sector (Collins, 2006).

The idea of inspiring passion and commitment is also explored by Crutchfield and McLeod Grant (2008), who studied US charities over a period of four years, to uncover what leads to high impact in this sector. To be effective, non-profit organisations need to “inspire evangelists” (Crutchfield and McLeod 2008:81). Indeed,

“Great organisations work *with and through others* to create more impact than they could ever achieve alone”. (Crutchfield and McLeod 2008:19).

Although they frequently refer to non-profits in general, their study was limited to non-profits serving social causes. So how do their findings apply to other kinds of non-profit organisation? Does evangelism also exist inside member communities? How can organisations convince members that in order to get value back, they need to not only pay for their membership, but also give something more? This is not sufficiently answered in previous research, although Neff and Moss (2011) emphasise the importance of member/community engagement, citing it as the

“...most important metric for nonprofit organizations.” (Neff and Moss 2011:52).

Collins (2006) partly answers the question by highlighting the need to build a brand and create an emotional commitment to this brand, but the critical point might be his fleeting reference to the need to instil a belief among an organisation's community, in that organisation's capacity to deliver – a kind of faith. Others also identify the brand as a supremely important asset, having the power to stir pride and attachment amongst members (Memberwise, 2011) but Collins comes closer to the essence of what maintains member loyalty.

To explore the notion further, one of the objectives of this study is to examine the relationship between passion for the cause and member loyalty.

Value Proposition

A key step in developing strategy is to define the value proposition, which explains not only what an organisation offers, but to whom (Kaplan and Norton 2001). Organisations cannot be all things to all people and given that within a broad potential customer base, there will be many different perceptions of what specifically adds value, the task of defining the value proposition is complex. Segmenting the target customer base, and creating a value proposition for each group can help (Lanning and Michaels, 1988). For a large company with adequate resources and a capacity to handle complex strategy while responding to market changes, this approach seems feasible. In the case of non-profit organisations, whose customers are driven not by a compelling need for the service offered, but rather a desire to - for example - support a worthy cause, the definition of value is difficult and indeed Kaplan and Norton (2001) admit this. Referring to non-profit, government and healthcare sectors in the US, all of which are covered by a small number of case studies in their research, they say that the perspective of value created is

“...the most problematic and difficult to measure.” (Kaplan and Norton, 2001: 136)

Identifying Value

How does a product or service that is merely “nice to have”¹ provide value that is sustainable in the long term – value being evident when the benefits of the product or service exceed the maximum

¹ Author's quotation marks

price the customer is willing to pay (Golub and Henry, 2000)? Given that customers only really care about price and value (Golub and Henry, 2000), an organisation needs to adjust one of these (or both) if it wishes to reverse the fortunes of a declining product or service. When price reduction threatens a significant proportion of revenue, an organisation needs to focus instead on value, determining what value looks like to the customer. It can then assess whether the current value proposition matches an identified demand (Lanning and Michaels, 1988).

For membership organisations, the challenge of adding value has been exacerbated by the wide availability of free information, particularly through social media (Maene, 2010). The perception of customers believing they can acquire knowledge through these media makes them reluctant to pay for it (Holbeche, 2006). They overlook the *validation* of information by experts, which can add value.

The Link Between the Value Proposition and Strategic Capability

Once a value proposition and the target group have been clearly identified, organisations can then build an overall strategy that is adequately resourced (EFQM, 2010). Furthermore, a value proposition that matches the expectations of customers cannot be delivered without strategic capability, i.e. resources and competences (Johnson et al, 2008).

Innovating for Added Value

Given that greater value might not come from merely making periodic improvements in quality, organisations should not rely on their usual response but should embrace radical change (Isaksen and Tidd, 2006). However, innovation enables *adaptation* - it is not an end in itself (Yukl and Lepsinger, 2004). So before getting carried away by innovating for the sake of it, organisations need to test their rationale with sound strategic analysis. Otherwise, they can fall into the disruptive innovation trap (Christensen and Bower, 1995), or be distracted by an apparent opportunity that does not fit with their overall strategy (Drucker, 1999).

On the other hand, in a more recent longitudinal study that was conducted with over 20 large companies, Sinfield et al (2011) demonstrate a link between business model innovation and value creation. They conclude that while many organisations tend to stick with their existing business model, changing just one of its different components - such as the *customer*, the *need*, the *offer* etc.

- could enable a company to increase value without completely overhauling the business model and without radically changing the mission. In a recent article, Sinfield et al (2011) give examples of how this approach created value in companies from their sample. As with other research reviewed for this paper, the sample was limited to the private sector and to large companies, so its relevance to the non-profit sector is inconclusive (and indeed is not claimed by the researchers).

The need to innovate applies also to the non-profit sector and the best organisations think ahead (Neff and Moss, 2011). Although their notion of *futuring* was questioned earlier in this review, they are right about the need to be vigilant regarding *slow* change, which we can see happening if we look for it. A good example is social media, which did not make an impact overnight, but slowly crept into daily use, eventually having an impact on the way we live and do business (Qualman, 2011).

The Nature of Non-Profit Organisations

As already noted, most of the literature covering the non-profit sector is related to those organisations serving social causes, rather than the kind of member organisation that is the subject of this research. Nevertheless the literature is worth reviewing to show where the gaps are and why more research is needed into the challenges faced by member organisations.

Non-profits have a shorter history than business. They have grown in number over recent decades and particularly in the US for example, in the last fifteen years. The growth in number - and funding - coincided with a tendency to hire professional staff rather than volunteers. This changed the nature of US non-profits, making them inward looking, prone to working in silos and less in touch with their communities (Kanter and Fine, 2010). Research from the UK on charities confirms the tendency to hire professionals and to manage organisations more like a business (Bartlett, 2000). The observation about the insular nature of non-profits could also apply to some private companies. That said, the latter are used to working in a competitive environment, whereas the characteristics of non-profits outlined above could be linked to a lack of awareness and/or appropriate response to an increasingly competitive environment in the non-profit sector (Raymond, 2011). Far from working in isolation, under an illusion of occupying a niche (Kanter and Fine, 2010), one tactic for cushioning growing competition is collaboration (Neff and Moss, 2011). This might work to a certain extent, although the choice of partners is important if collaboration is to lead to a win-win result, rather than the swallowing up of one partner by another (Chertavian, 2011).

Current Challenges for Member Organisations

Member organisations are finding it difficult to engage their communities. In 2009, the Chief Executive of the Royal Society for the Encouragement of Arts, Manufactures and Commerce (RSA) spoke publicly about the need to change governance and cultures and the need to embrace social media in order to create on-line communities (Taylor, 2009).

The relationship with members is changing, from

“... one based on transactions to one based on conversations...” (Glendinning Hall, 2009²)

Both of these views are right, but the challenge that motivated this research is expressed most succinctly by Hudson (2009) who is behind a research project for the NCVO and RSA. Summing up the traditional services offered by member organisations, such as specialist information and networking, Hudson investigates the role of member organisations in a world where people can share information and knowledge, network on-line and even organise themselves to take the kind of action that was once co-ordinated by an organisation on behalf of its members. She finds that there is still a need for co-ordinating organisations, to do the things that members cannot do for themselves, even with social media. She cites brokering relationships and hosting events amongst others and concludes that

“... it keeps coming back to quality human relationships. It isn't really about technology at all.” (Hudson, 2009³).

Even though Hudson seems to be closer to answering some questions about member organisations, nevertheless her study is limited to the kind of non-profits that undertake social projects. So whilst she provides valuable recommendations, there remain some angles that are unique to business-to-business member organisations and these merit further investigation. Indeed, overall the existing literature does not adequately deal with value creation in this type of organisation. (NB: It should be noted that the full findings and methodology for the above study by Hudson (2009) were not found. Only the highlights were reported on the site referenced and the analysis was done on the basis of these highlights.)

² Taken from a blog. No page numbers.

³ Taken from web-based article. No page numbers.

Social Media

Most of the literature on social media, i.e. social networking sites (Facebook™, Linked In™ etc.) and user-generated information sites (sometimes known as “wikis”), offers advice on how to exploit the opportunities created by these recent but significant phenomena. That said, amongst the literature *specifically about* social media (as opposed to other literature that *refers to* social media), there appears to be little research. For example, Qualman (2011), whose entire book is about social media, has not undertaken a study and he bases his recommendations on his own experience not on research findings.

A starting point for this research was the decline in membership in The Foundation and the study investigates the extent to which social media have substituted a key service of member organisations. Some anecdotal evidence from the literature suggests that social media have impacted member organisations (see example in the above section.) However, no hard evidence was found from research, of a causal relationship between the increased use of social media and membership decline.

While information provision is one aspect of the service member organisations provide for their communities, as noted above, connecting members to each other via on-line networking platforms and events remains a role for which communities need an intermediary (Hudson, 2009). It is true that it has become easier to find potentially interesting contacts (Kanter and Fine, 2010). However, social media are very new phenomena and whilst it may have been true at the time that social media could

“... help build strong, resilient, trusting relationships.” (Kanter and Fine 2010:5)

the researcher will present evidence in the findings from this study, which suggest that this does not appear to be the case as people have become more used to, and more aware of the limitations of social media.

In fact, Kanter and Fine (2010) appear to contradict themselves anyway, because although they repeat the above point later in their book, they also acknowledge that on-line communities can never replace personal relationships. Similarly, although Maene (2010) is right that the availability of free information poses a threat, the opportunity lies in the lack of reliability and authenticity of such information (Holbeche, 2006), for which member organisations can provide validation, separating the good from the bad.

Gaps in the Literature

As already mentioned, in the body of knowledge on the non-profit sector, there appears to be very little relevant literature on those organisations that provide a business-to-business service. The questions posed by the study in this paper were not answered by the available material.

Social media is a new subject for literature and the material found is limited to guidance and examples of best practice that are not presented as research.

The link between the passion for a cause and loyalty from a community of followers is not well covered and in any case is limited to the kind of non-profit organisations that support a social cause – notably charities. No relevant literature was found on the kind of member organisations that offer a business-to-business service.

With this in mind, the study seeks to provide an understanding of value creation, social media, and passion and member loyalty, with respect to the kind of member organisation that has been missed from the scope of existing research.

Chapter 3: Research Design and Methodology

Research Question

The study aimed to establish whether or not The Foundation can create sufficient value to sustain membership as its key revenue generator.

As well as reviewing the relevant literature, the other objectives were:

- To assess the impact of social media on The Foundation's key membership features – sharing knowledge and best practice and brokering benchmarking and member-to-member relationships – in order to identify whether the organisation's core competences have been substituted in the market.
- To assess whether “supporting the cause” remains a reason for member loyalty.
- To identify what changes, if any, could add value to the membership package.

Research Design

The main purpose of the study was to investigate and clarify a complex problem, which needed further explanation. In this sense it was predominantly exploratory (Robson, 2002). In addition, The Foundation wanted to determine whether there were any links between certain phenomena, and if so whether the relationship was one of cause and effect. This added an explanatory aim (Saunders et al, 2009). At the outset, it was not clear whether existing theory would be tested and/or new theory would emerge so the approach was mixed and the research philosophy adopted was pragmatism (Saunders et al, 2009). This meant that the question could be answered using both measurable data and more subjective evidence. A survey strategy was adopted, enabling the study to investigate the perceptions of members (Denscombe, 2010).

The objectives were met using a combination of both quantitative and qualitative research. Quantitative research is usually associated with data that can be measured numerically (sometimes statistically), and qualitative research with data presented using other media such as text and images (Denscombe, 2010.) The rationale for this approach was to ensure that both statistical and richer,

more contextual data could be obtained. The mixed methods approach led to a more complete picture of what was being reported by the sample and why (Saunders et al, 2009; Denscombe, 2010). This use of triangulation added depth to the study (Bryman and Bell, 2007).

Timeframe and Location

The study was cross-sectional in nature (Saunders et al, 2009) and the data was collected in November 2011. The research base was in Belgium. However, use of the internet and telephone enabled the collection of data from all over Europe and the Middle East, the main locations of member organisations. The timing coincided with two assessment activities undertaken by The Foundation with external assessors. The management team expressed a preference for completing the data collection within the same period as these external assessments. Therefore, the agreed closing date for the data collection was the end of November 2011.

Access to Subjects

The research was conducted by an internal researcher (Saunders et al, 2009) with the full knowledge and consent of The Foundation (Denscombe, 2010). Contacting subjects was an easy and transparent process. The Chief Executive Officer (CEO) sent a preliminary message in advance of the launch (Saunders et al, 2009) which endorsed and also briefly explained the research (Robson, 2002). He then sent a further email message that coincided with the launch of the data collection tools and followed this up with a reminder at the beginning of the second week of data collection (Saunders et al, 2009).

Subjects

The target population for the research included organisations that were members of The Foundation at the time the study was undertaken and organisations that had cancelled their membership within 2011. The size of these groups was as follows:

Table 2: Size of initial target population

Member Organisations as of 7/11/11	Former Member Organisations Cancelled 2011
465	83

Target Population

From the above group, the actual individuals invited to participate were the nominated representatives from each organisation, (one person per organisation) who, for the purposes of the study were the people that were most likely to be able to give an informed view.

In some cases, representatives had changed and new contact details had not been provided. Therefore, even though there was no specific exclusion criteria set for the selection of the sample, the target population was reduced anyway to only those organisations for which a current representative was in place and for whom accurate contact information was available. Furthermore, some emails were undelivered so the number of organisations that were ultimately invited to participate in the study was as follows:

Table 3: Population invited to participate in the survey

Member Organisations Invited	Former Member Organisations Invited
428	39

The final sample was determined by self-selection (Saunders et al, 2009) i.e. member organisations participated only if they chose to. Consent was deemed to have been granted in all cases of submitted questionnaires. This was because the invitation contained a hyperlink which opened the

survey on the first page, containing instructions - including how to exit the survey without submitting, if desired (Saunders et al, 2009).

Data Collection Tools

Primary Sources

A survey (Robson, 2002; Denscombe, 2010) was used to gather data on:

- the perceptions of the current value proposition offered by The Foundation to its members
- the extent to which social media have substituted what The Foundation does to connect members to each other
- the importance of promoting business excellence to organisations around the world (a key aspect of the mission of The Foundation).

The data collection tool was an on-line questionnaire, delivered and analysed using Survey Monkey www.surveymonkey.com. The questionnaire comprised mainly closed questions, using a Likert-style rating scale but a small number of list and category questions were also used (Saunders et al, 2009). An even-numbered rating scale was used to force respondents to take a non-neutral position (Saunders et al, 2009). Some questions included a “do not know” or “not applicable” option (Saunders et al, 2009) and some also included a free text box for additional comments. Respondents had the option to remain anonymous (Saunders et al, 2009) and the opening page of the survey contained a statement about confidentiality (Denscombe, 2010). In the event that respondents chose to disclose their identity, this information was not disclosed to The Foundation.

A copy of the questionnaire can be found in Appendix 1.

The choice of the on-line survey method enabled a fast response from as large a number of people as possible. It was also very cost-effective, easy for the sample to complete (Denscombe, 2010) and familiar to member and former member organisation representatives who had been frequently surveyed previously using this tool. The on-line survey tool also permitted automatic download into a format suitable for analysis (Saunders et al, 2009; Denscombe, 2010).

The questionnaire was tested with a pilot sample (Bell, 2005) and following the first feedback, it was amended and re-tested. The timescale and number of people involved in the test can be found in the table below:

Table 4: Timescale and numbers involved in the pilot sample

Date	Action	Pilot Sample	Length of Time
19 October 2011	Launch first test questionnaire	12	1 week
26 October 2011	End first test		
28 October 2011	Launch re-test following amendments	6	8 days
6 November 2011	End re-test		

Following the first test, a number of valuable comments were made by the pilot sample. They related mainly to the structure of the questionnaire (design of the rating scale, position and flow of the questions, etc.,) and the language used and ease of comprehension overall. This feedback informed the subsequent amendments and the same pilot sample was asked to review the changes. The re-test focused specifically on the amendments and the feedback indicated that most of the issues raised following the first test had been adequately addressed (Fink, 2003).

After both tests, the data collected was reviewed to ensure that there were no extreme outlying responses, which might have suggested that a question had not been understood (Kelley et al, 2003).

Secondary Sources

No secondary sources were used in the collection of data for the study.

Reliability and Validity

Reliability

One of the aims of the survey pilot was to ensure as far as possible that the questionnaire would be understood by the sample, which included many non-native English speakers. The potential for misunderstanding was a genuine concern and in order to reduce the risk of participant error (Robson, 2002) the pilot sample was asked about the use of language and several testers highlighted terms that might be misunderstood. The feedback from the re-test indicated that alternative terms proposed following the initial test had addressed the problem.

In order to reduce the risk of participant bias caused by respondents giving what they thought was the required or desirable answer (Saunders et al, 2009), the option for anonymity was made clear to the sample, both in the message that accompanied the launch and in the instructions on the first page of the survey.

Validity

To address the risk of data from the survey not actually showing what they appeared to show (Saunders et al, 2009), some relevant results were shared with the interviewees to check whether they reflected the understanding of the researcher.

The scope of the research was limited to a population of members and former members of The Foundation. Whilst the perceptions that were being measured included views about member organisations *in general*, the study was not intended to provide findings that could be generalised to all member organisations providing services to a business community.

Survey Administration and Response Rate

The survey was launched on 7 November 2011 with an email announcement to the 428 member organisations and 39 former member organisations referred to in Table 3 above. A reminder email was sent on 14 November and the survey was closed on 18 November. A summary of the numbers of respondents can be found in the table below:

Table 5: Number of survey respondents

Type of Organisation	Number Invited to Participate	Actual Number of Respondents
Member organisation	428	118
Former member organisation	39	6
Status not given (blank)		2

From the 146 subjects that logged in to the site and opened the survey, 20 did not complete all pages, i.e. to the end. 126 surveys were fully completed and only these will be considered in the analysis. All submitted questionnaires had a unique identifying number (Denscombe, 2010).

Interviews

As well as the survey, 8 interviews were conducted, permitting deeper investigation into what value really means to members and enabling rich, more thorough analysis of why members choose to renew or cancel their membership (Robson, 2002).

In all, 10 interviewees were selected, using heterogeneous sampling (Saunders et al, 2009), from those survey respondents that disclosed their identity. 4 were from organisations that had been members for more than three years, 4 were from organisations that had been members for less than three years and 2 were from organisations that cancelled their membership within 2011. The researcher was looking for a balance of “older”, “newer” and former members in order to investigate whether there was a difference in the views of the three groups (Saunders et al, 2009).

7 of the interview sample were individuals with whom the researcher had previously had regular contact by telephone and in person. The remaining 3 were individuals with whom the researcher had had no previous contact by telephone or in person, but with whom there had been some previous email contact. In order to schedule the appointments to allow collection of the data by the end of November, the interviewees were selected from those respondents that completed the survey during the first week. 2 interviewees cancelled their telephone appointments on the morning of the scheduled dates. In the case of one of these, the appointment was re-scheduled, but

cancelled a second time. The interviews were scheduled during office working hours, at the convenience of the interviewees (Saunders et al, 2009).

The interviews were semi-structured (Denscombe, 2010) and conducted by telephone. The circumstances permitted this as a suitable way of interviewing, because the researcher was known to all interviewees as a result of her position in The Foundation and profile within the membership network, and she was known personally to most interviewees. There was therefore no issue regarding her credibility or the overall rationale for the research (Saunders et al, 2009). The same open questions were asked to all interviewees. However, they were also encouraged to contribute their own ideas, in order to allow other pertinent information to emerge (Denscombe, 2010). The interviews were taped and transcribed for later analysis (Denscombe, 2010). The scheduling during office hours also enabled access to telephones with good quality speakers to ensure that the volume was adequate for the recording. All interviews were conducted in confidence (Saunders et al, 2009; Denscombe, 2010) and neither the names of interviewees nor recordings, nor transcriptions were made available to The Foundation.

More information about the interviews can be found in the following table and the questions asked by the researcher can be found in Appendix 2.

Table 6: Length of interviews

Date	Member or Former Member	Length of Interview
16/11/2011	Member	35m 53
16/11/2011	Member	58m 14
18/11/2011	Former Member	40m 59
18/11/2011	Former Member	29m 44
22/11/2011	Member	23m 18
24/11/2011	Member	31m 50
24/11/2011	Member	30m 43
24/11/2011	Member	33m 04

Ethical Issues

The purpose of the research was made clear to the sample (Robson, 2002; Saunders et al, 2009), both at the beginning of the on-line survey and in the launch email. The research objectives were outlined at the beginning of each interview. Survey respondents completed the same questionnaire (Denscombe, 2010) and interviewees were asked the same questions. All subjects were advised of their option to complete the survey anonymously (Saunders et al, 2009) and all interviewees were made aware in advance that they were to be recorded and asked again at the beginning of the interview if they consented to being recorded (Denscombe, 2010).

Limitations of the Chosen Methodology

The study was designed to research the value of membership as seen by existing and former members of The Foundation. Although this data is important, the view of organisations that have never been members would also have been useful in evaluating the extent to which the membership offer adds value. For the research objectives relating to the impact of social media and the extent of the link between passion for the cause and member loyalty, it would also have been useful to contact other similar member organisations to find out whether they had any valuable comparative data. This element of benchmarking would have been useful, particularly with regards to establishing the external validity of the results (Saunders et al, 2009). Unfortunately, accepting that:

“In the conflict between the desirable and the possible, the possible always wins.”
(Buchanan et al, 1988:53-4);

there was no time for either. Moreover, in spite of extensive searching of relevant journals, academic libraries and the internet, no relevant data or research reports into similar member organisations were found.

Although 39 former members of The Foundation were contacted, as expected, few completed the survey. The percentage of those responding from this group was only around 15% compared with 27% of the existing members contacted. Given that The Foundation has some, albeit anecdotal and limited evidence of a link between member cancellation and a perceived lack of value, the views of

more former members would have been valuable to the research. The limited data gathered from former members provides no conclusive evidence regarding the reason(s) for membership decline.

Similarly, although the number of existing members that replied was higher than the original target of 20%, (and moreover, higher than any previous surveys of the membership conducted by The Foundation), nevertheless a large majority of members did not reply. It is possible that the most loyal members were also the ones that replied and this may have influenced the results, particularly on the questions about the level of value currently being provided by The Foundation.

One instruction in the questionnaire regarding skip logic was misunderstood by a small number of respondents, in spite of the indication from the pilot that the instruction was clear. This meant that a small number of member organisations answered questions that were only intended for former members and the data had to be adjusted before analysis.

The nature of the quantitative data, which was categorical rather than numerical (Saunders et al, 2009) meant that they were unsuitable for statistical analysis and even the most basic statistical measures, such as the mean, were inappropriate (Denscombe, 2010). The only statistical test that might have been useful in the analysis of some data - the chi square test - was not possible because expected data could not be estimated (Denscombe, 2010). This meant that it was not possible to make predictions or conclusions that had a statistical basis.

Analysis of Data

Quantitative data were downloaded from www.surveymonkey.com in Excel™ format and analysed using Excel™ software (Saunders et al, 2009).

Qualitative data were analysed manually. The data were grouped into themes and the themes were then categorised according to their relevance to the research objectives and their relevance to the existing literature (Saunders et al, 2009).

Chapter 4: Results and Analysis

In this section, the key results are presented along with the initial analysis of their relevance to the study, which considers whether or not The Foundation can create sufficient value to sustain membership as its key revenue generator.

The results relate to the following objectives:

- To assess the impact of social media on The Foundation's key membership features – sharing knowledge and best practice and brokering benchmarking and member-to-member relationships – in order to identify whether the organisation's core competences have been substituted in the market.
- To assess whether "supporting the cause" remains a reason for member loyalty.
- To identify what changes, if any, could add value to the membership package.

The results are taken from:

- Quantitative, categorical data (Saunders et al, 2009) from 126 completed questionnaire responses
- Qualitative data from 126 completed questionnaire responses
- Qualitative data from 8 interview transcriptions.

Quantitative Data from the Questionnaire Responses



Figure 1: Rating of respondents regarding the importance of the role of membership organisations in helping members to build business relationships and networks

Figure 1 shows the responses to Question 2. All 126 respondents answered this question. The most frequently occurring rating (mode) was 3.

The majority of respondents agreed that helping members to build relationships and networks is an important role for member organisations. This appears to imply that fulfilling such a role adds value and indeed the qualitative data from the questionnaire and the interviews support this implication. The results support Taylor (2009) and Hudson (2009) both of whom find that relationship building and networking remain a role for member organisations, even with the advent of social media.

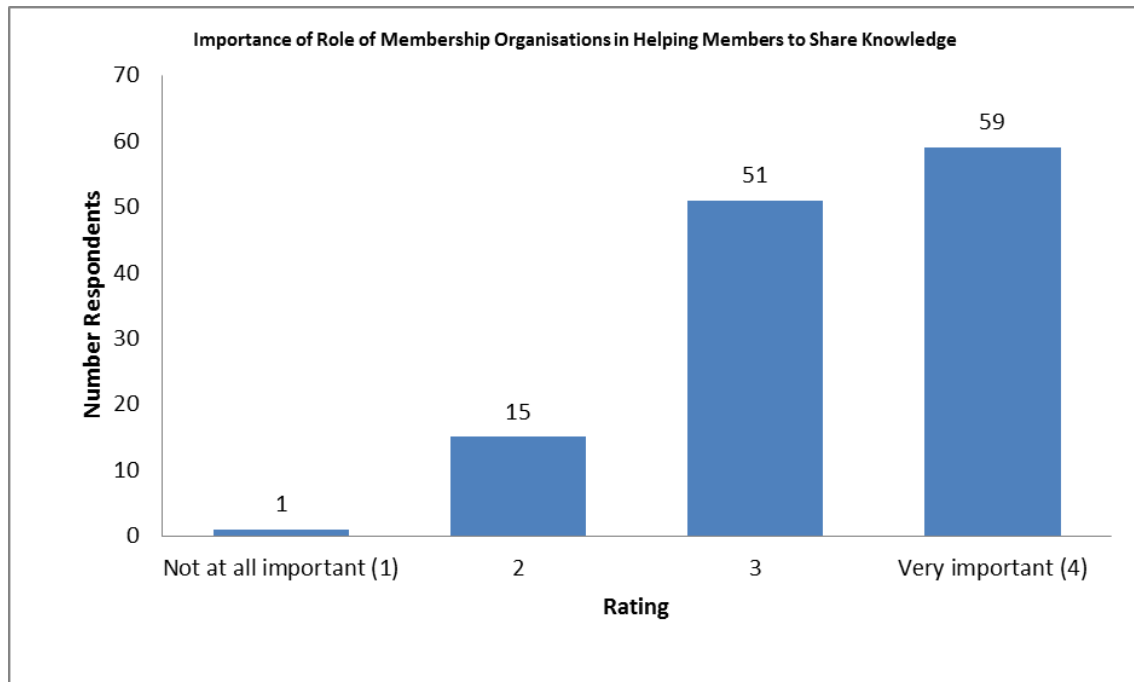


Figure 2: Rating of respondents regarding the importance of the role of membership organisations in helping members to share knowledge

Figure 2 shows the responses to Question 3. All 126 respondents answered this question. The mode was 4.

A large majority of respondents agreed that member organisations have an important role in helping members to share knowledge. The results strongly suggest that helping members to share knowledge adds value and the qualitative data from the questionnaire and the interviews support this. The results resonate with Johnson et al (2008) and Eisenhardt and Santos (2001) who link an organisation's knowledge to its competitive advantage. They suggest that Maene (2010) may not be right when he says that the availability of free information is a threat to member organisations and finally, they support Hudson (2009) who concludes that member organisations still have an important role in providing knowledge and expertise.

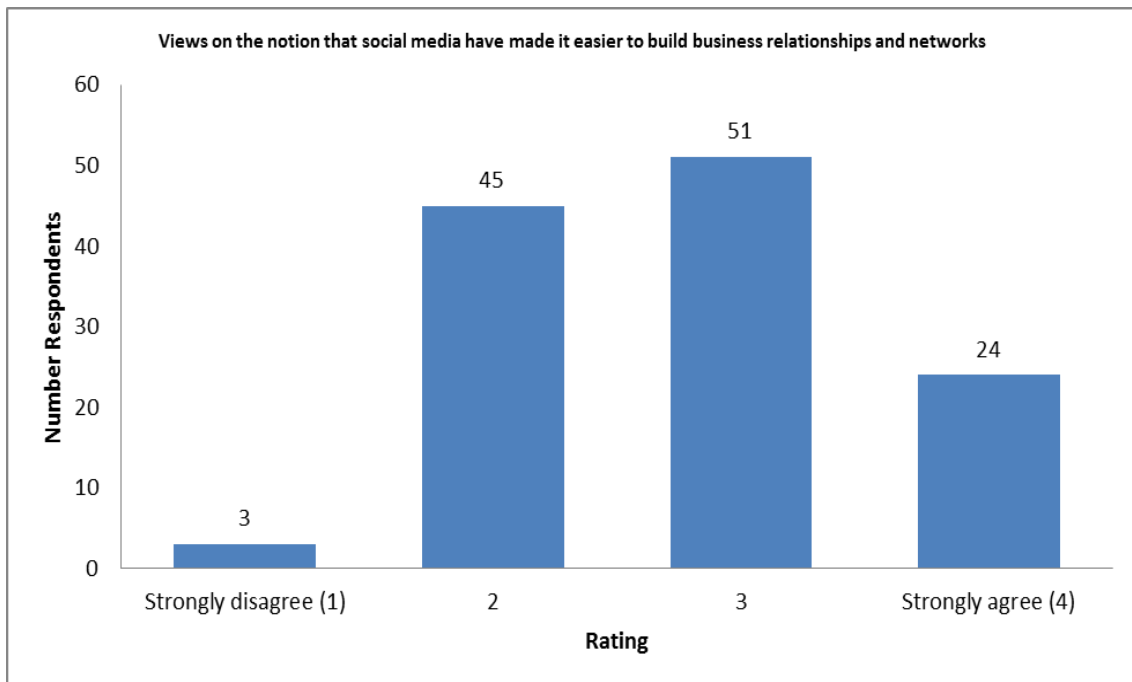


Figure 3: Views of respondents regarding the notion that social media have made it easier to build business relationships and networks

Figure 3 shows the responses to Question 6. 123 respondents answered this question. The mode was 3.

A majority of respondents agreed with the notion that social media have made it easier to build business relationships and networks. However, a large number of respondents disagreed. The qualitative data from the questionnaire and interviews provide important additional information, indicating that there is a difference between merely *connecting* to people and *building a relationship*. However, at face value only, the above results suggest that Kanter and Fine (2010) correctly conclude that social media help to build relationships.

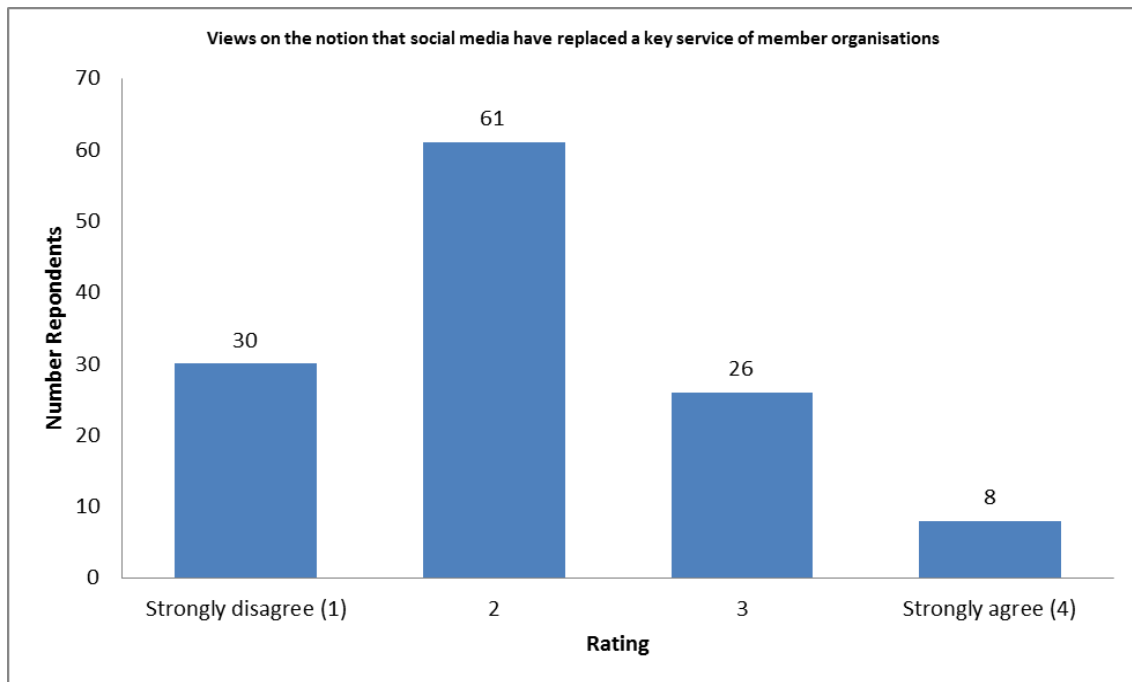


Figure 4: Views of respondents regarding the notion that social media have replaced a key service of member organisations

Figure 4 shows the responses to Question 7. 125 respondents answered this question. The mode was 2.

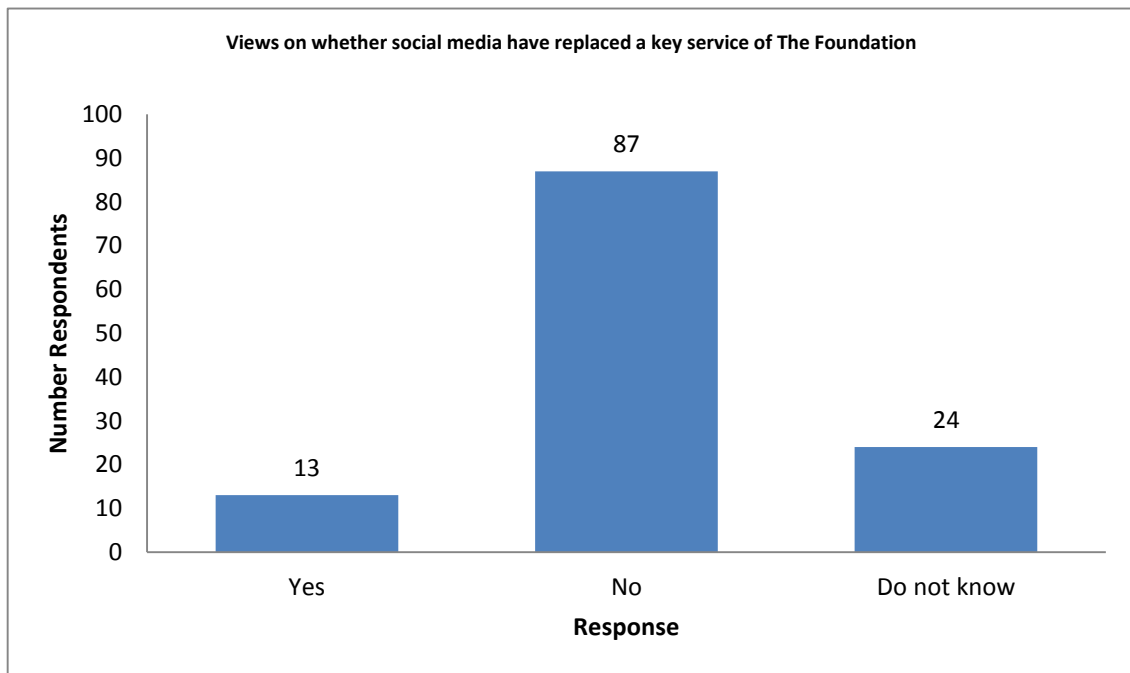


Figure 5 : Views of respondents regarding whether or not social media have replaced a key service of The Foundation

Figure 5 shows the responses to Question 16. 100 respondents answered either yes or no, with a majority view that social media have not replaced a key service of The Foundation. 24 respondents replied that they did not know.

As can be seen in both Figures 4 and 5 above, a large majority of respondents to questions 7 and 16 indicated that social media have replaced *neither* a key service of member organisations in general *nor* a key service of The Foundation in particular. This is reinforced by the qualitative data from the questionnaire and the interviews. These results directly relate to one of the research objectives and suggest that the organisation's core competences have not been substituted in the market (Porter, 1980) by social media. They also confirm the conclusions of Hudson (2009) who finds that social media have not replaced core competences of member organisations.

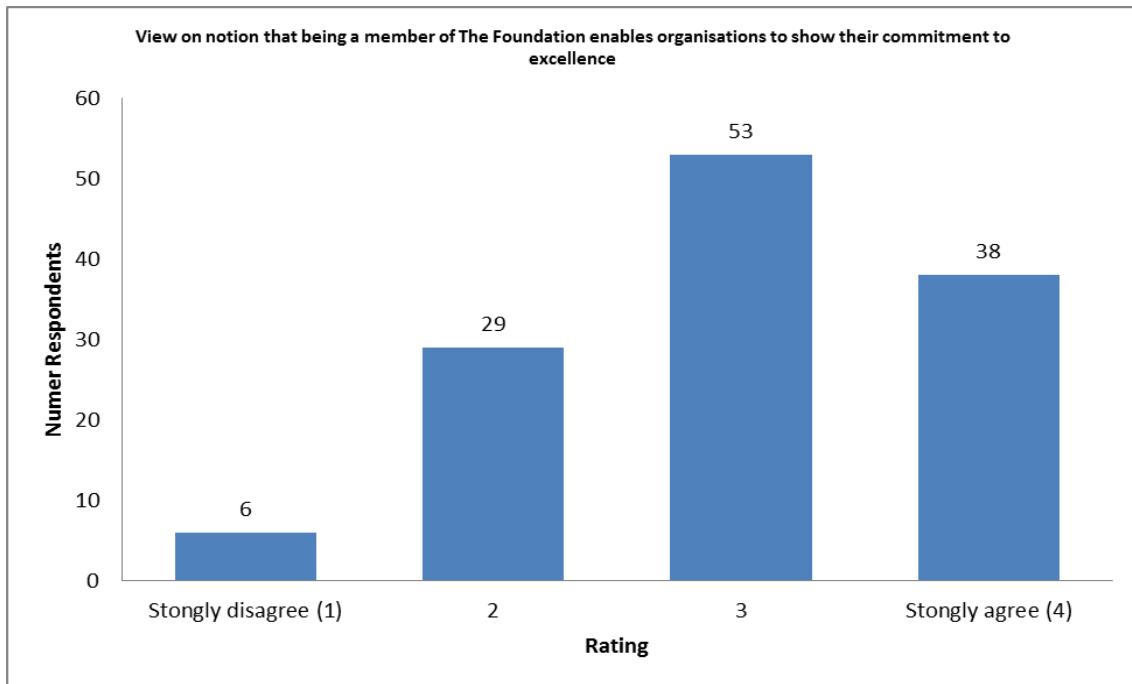


Figure 6: Rating of respondents regarding the notion that being a member of The Foundation enables organisations to show their commitment to excellence

Figure 6 shows the responses to Question 9. All 126 respondents answered the question. The mode was 3.

The majority of respondents agreed that being a member of The Foundation enables organisations to show their commitment to excellence. The results link to one of the research objectives, which is to establish whether there is a relationship between “supporting the cause” and member loyalty. They resonate with Collins (2006) and Memberwise (2011) who both discuss passion and pride, in the context of a brand.

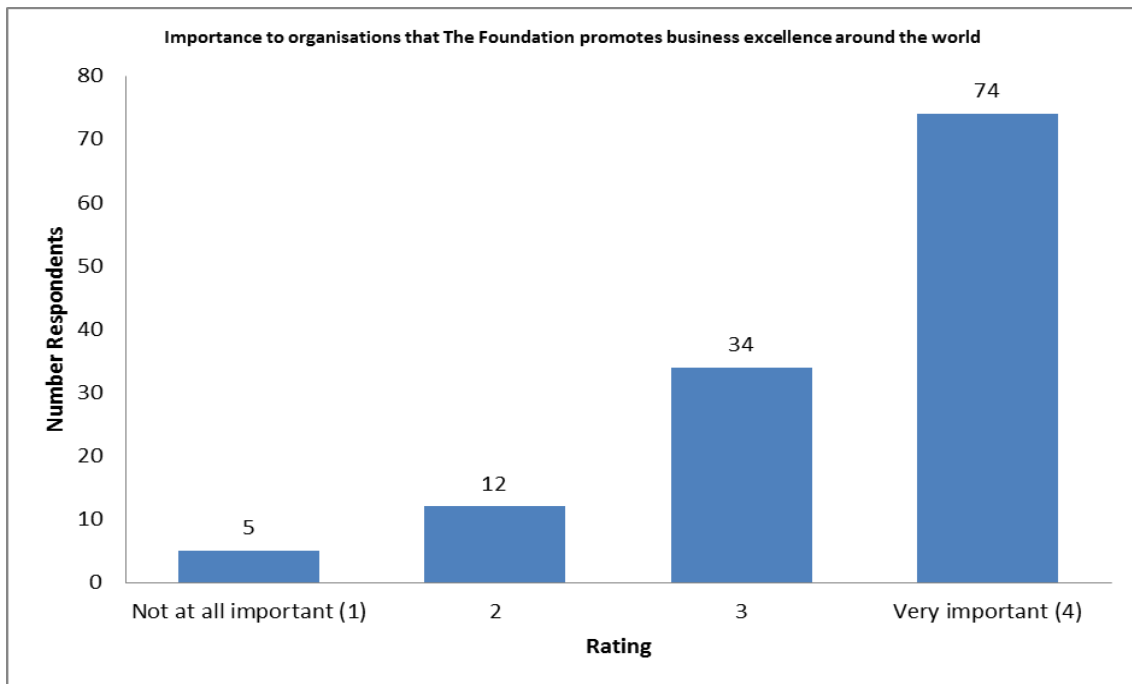


Figure 7: Rating of respondents regarding the importance to organisations that The Foundation promotes business excellence around the world

Figure 7 shows the responses to Question 10. 125 respondents answered the question. The mode was 4.

A large majority of respondents overall agreed that it is important for The Foundation to promote business excellence around the world and a large majority of *these* rated this as *very* important. These results were supported by qualitative data from the questionnaire and interviews. The results link indirectly to value creation, which is the key theme of the research.

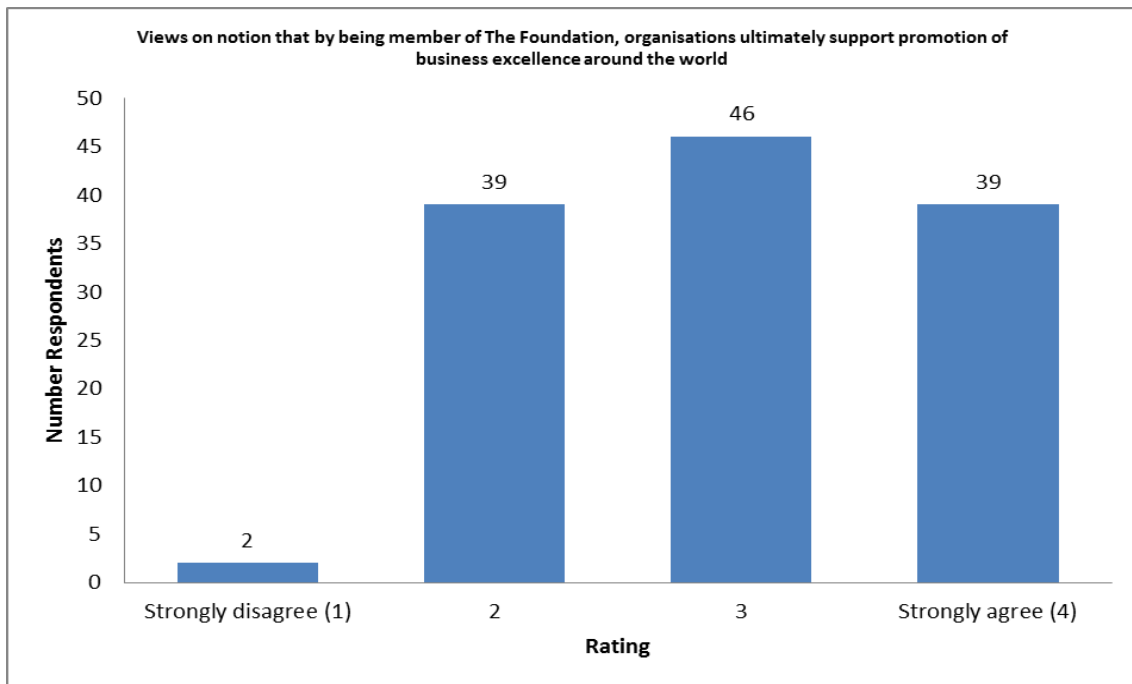


Figure 8: Views of respondents on the notion that being a member of The Foundation helps organisations to support the promotion of business excellence around the world

Figure 8 shows the responses to Question 11. All 126 respondents answered the question. The mode was 3.

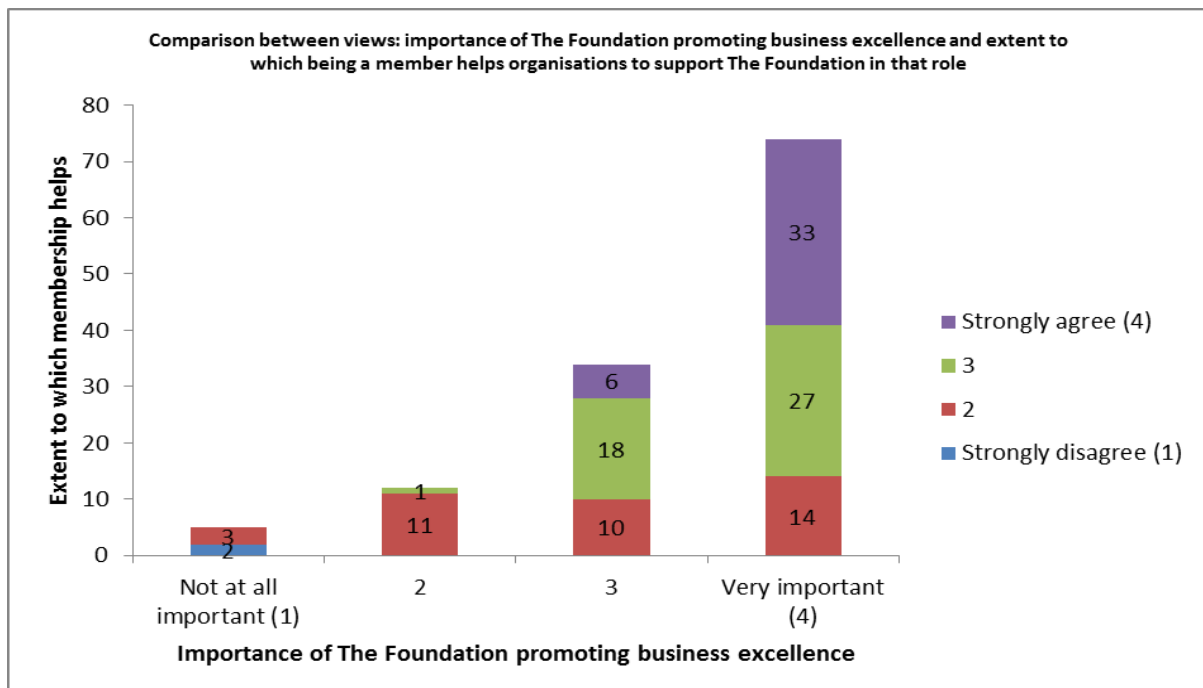


Figure 9: Comparison between the views of respondents regarding the extent to which it is important for The Foundation to promote business excellence around the world and their views regarding the extent to which being a member of The Foundation helps them to support The Foundation in this role

Figure 9 shows a comparison between the results for Questions 10 and 11.

The results in Figure 8 show that the majority of respondents agreed that being a member of The Foundation helps organisations to support the promotion of business excellence around the world. The results in Figure 9 show that the majority of organisations that indicated that it is important for The Foundation to promote business excellence around the world, also indicated that being a member of The Foundation helps them to support this cause. Qualitative data from the questionnaire and interviews support both results, which link to one of the research objectives, which is to establish whether there is a connection between “supporting the cause” and member loyalty. They reflect the comments of Collins (2006) and Memberwise (2011) on passion, pride, and the strength of a brand.

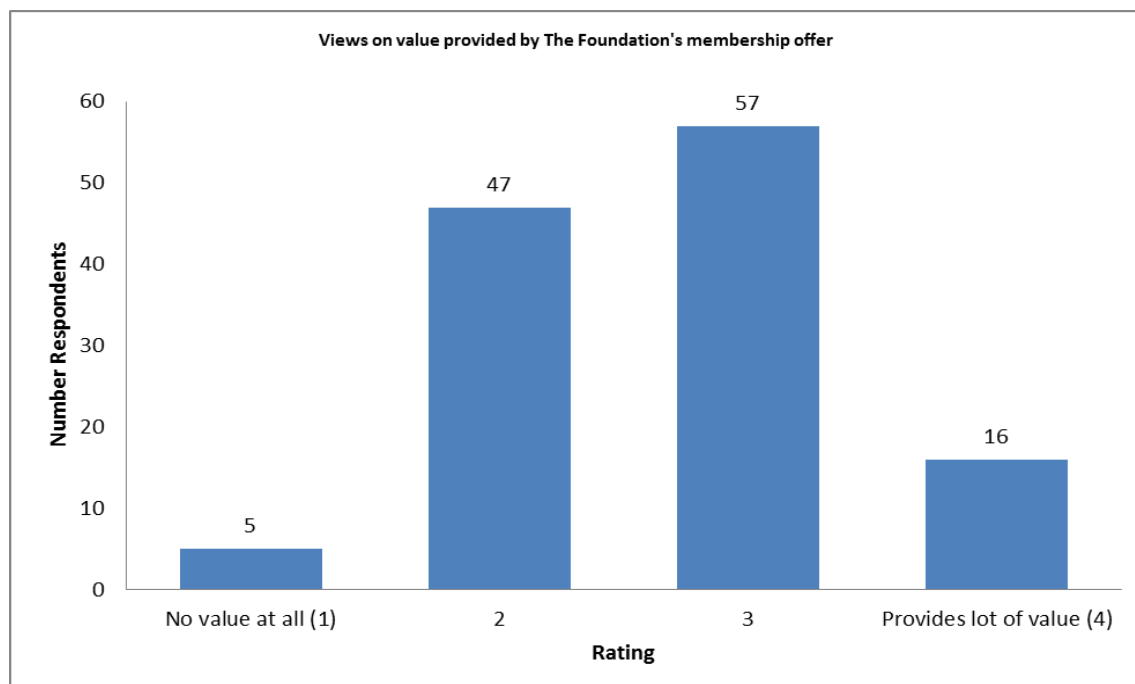


Figure 10: View of respondents on the value provided by The Foundation membership offer

Figure 10 shows the responses to Question 12. 125 respondents answered the question. The mode was 3.

The above results link to value creation, which is the main theme for this research. Although a majority of respondents indicated that membership of The Foundation provides value, quite a large number of respondents gave a lower rating. The qualitative data from the questionnaire and interviews provide more explanation and will be discussed shortly. The results link to Kaplan and Norton (2001) and their emphasis on value creation and also to Golub and Henry (2000) who conclude that customers are only interested in price and value.

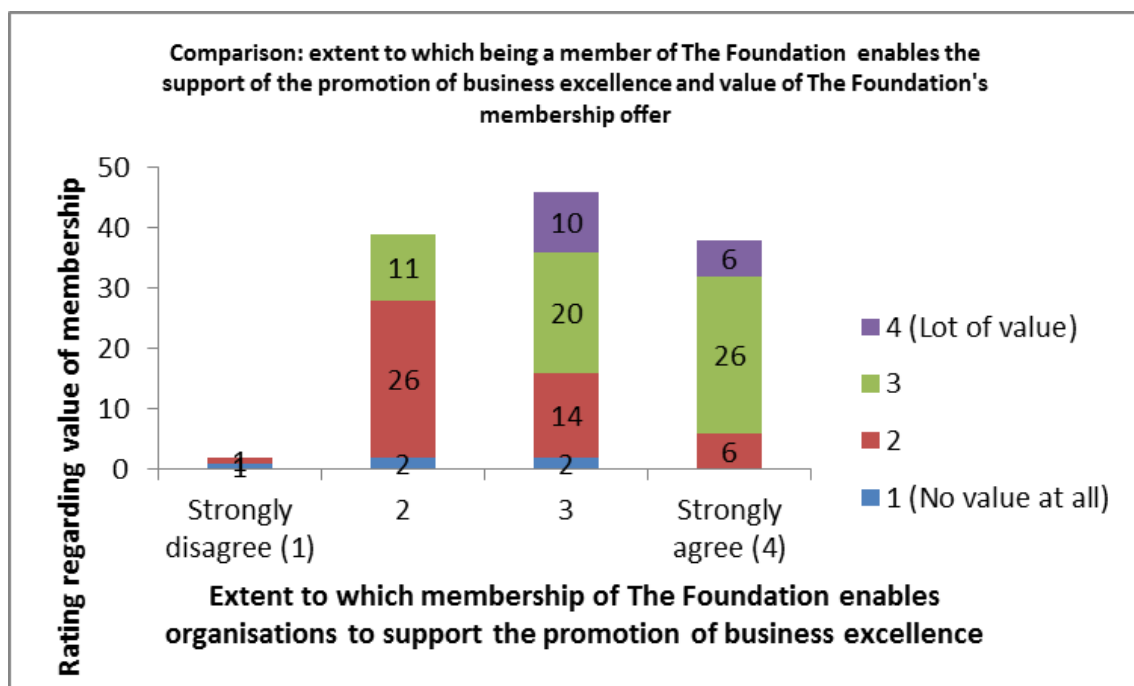


Figure 11: Comparison between the extent to which membership of The Foundation enables organisations to support the promotion of business excellence and their perceived value of The Foundation's membership offer

Figure 11 compares the responses for Questions 11 and 12. Respondents who indicated that by being a member of The Foundation they were consequently supporting the promotion of business excellence around the world, gave a higher rating for value more frequently.

These results are linked to the main theme of the research, i.e. value creation, and the objective to establish the extent of the link between "supporting the cause" and member loyalty. The results suggest that there is also a link between satisfying a passion and the perception of value. One of the interviews provided qualitative data which supports this.

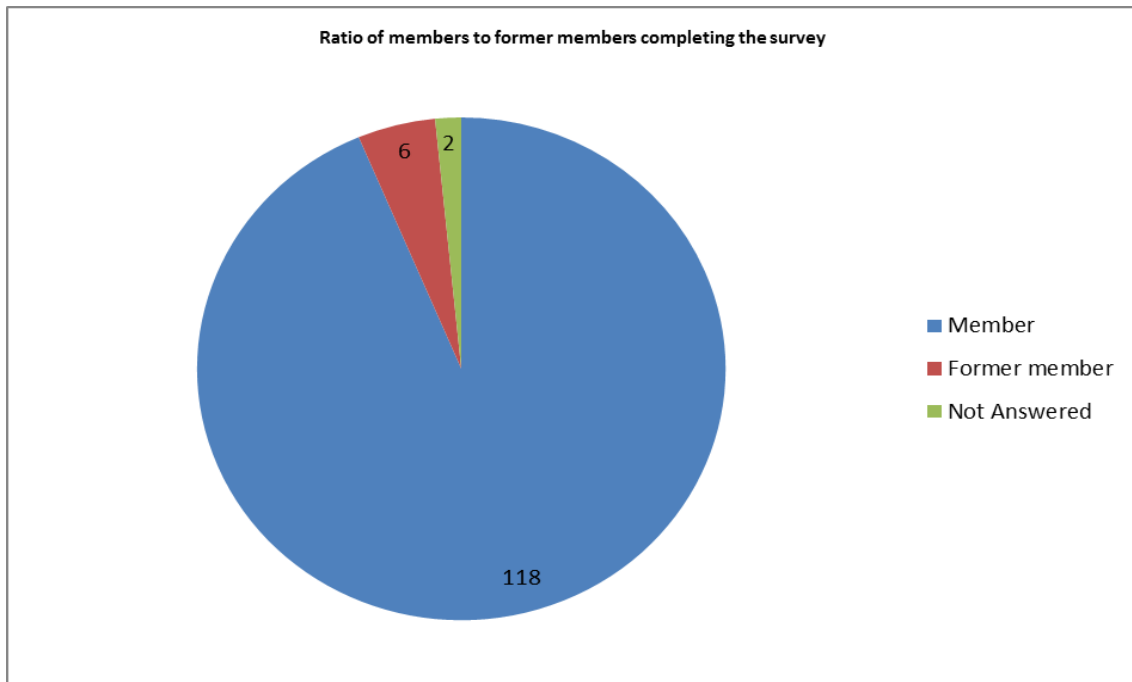


Figure 12: Ratio of members to former members completing the survey

Figure 12 shows the ratio of members to former members completing the survey. Over 93% of the respondents were members.

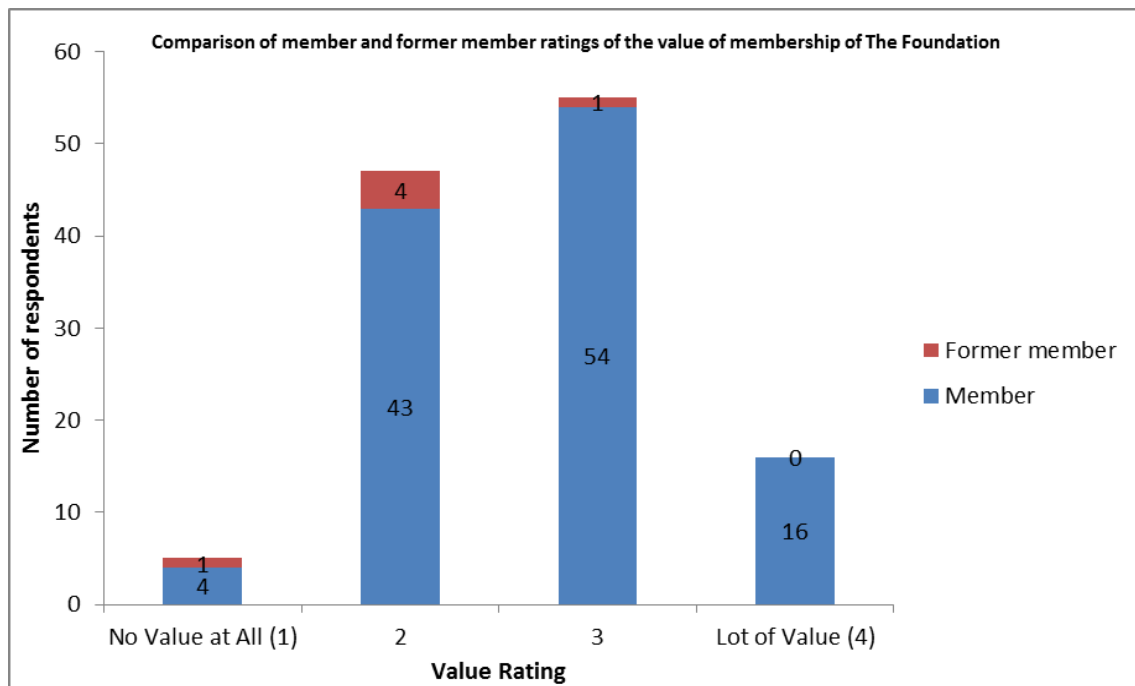


Figure 13: Comparison between the rating of members and former members regarding the value of membership of The Foundation

Figure 13 shows the comparison of the ratings of members and former members regarding the value of membership. 123 respondents answered this question: 117 members and 6 former members. The rating selected by the highest number of members was 3 and the rating selected by the highest number of former members was 2.

The results relate to value creation, which is the main theme of this research. Although the above results suggest that former members considered The Foundation to be of less value than members – and indeed this would appear to be logical given that former members cancelled their membership of The Foundation – very few former members responded to the survey (see Figure 12). Therefore, it would be a guess rather than an informed conclusion, to generalise that all former member organisations consider The Foundation to provide less value than those organisations that remain members.

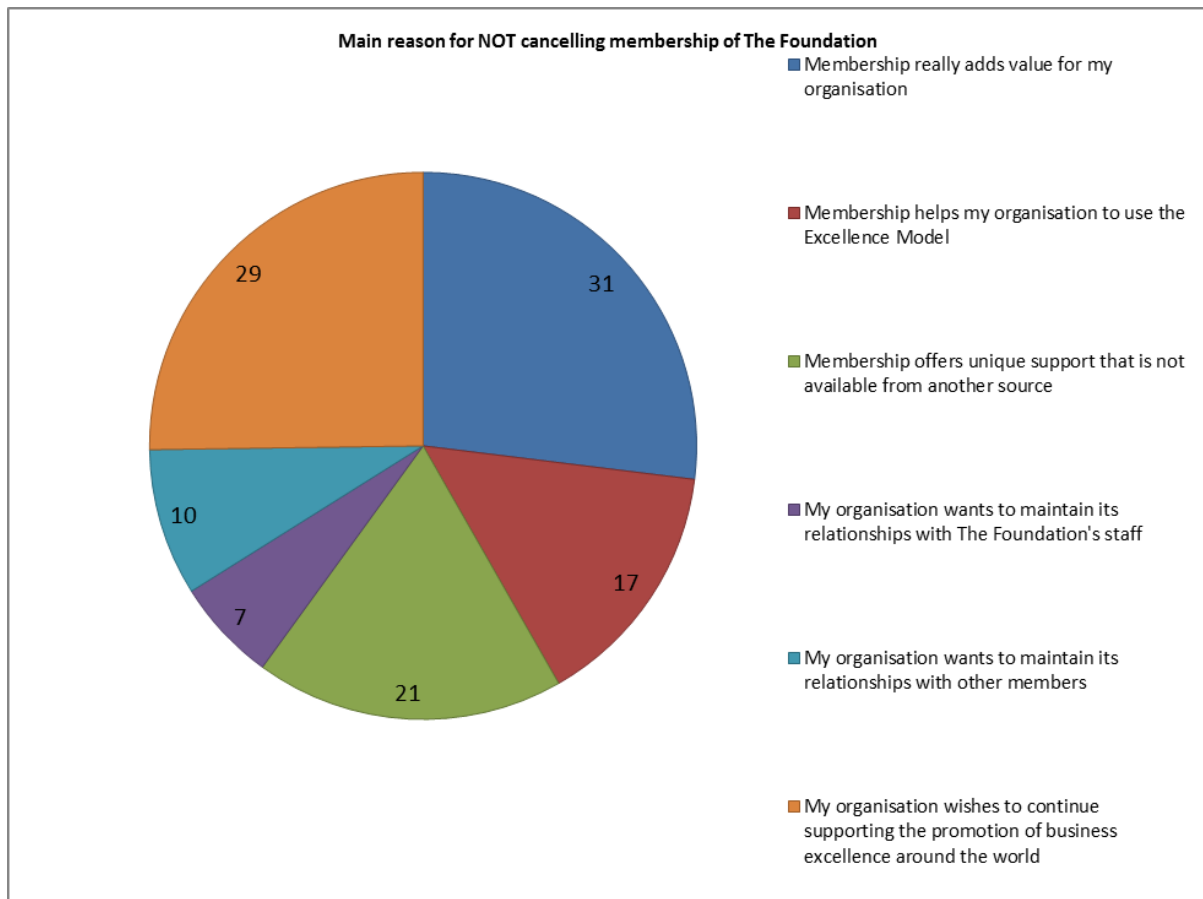


Figure 14 : Main reason for not cancelling membership of The Foundation

Figure 14 shows the responses to Question 20. This question was for members only and 115 member organisations responded out of a possible 118. The two most popular responses (respectively), were “Membership really adds value to my organisation” and “My organisation wishes to continue supporting the promotion of business excellence around the world”. The third most popular response was “Membership offers unique support that is not available from another source”.

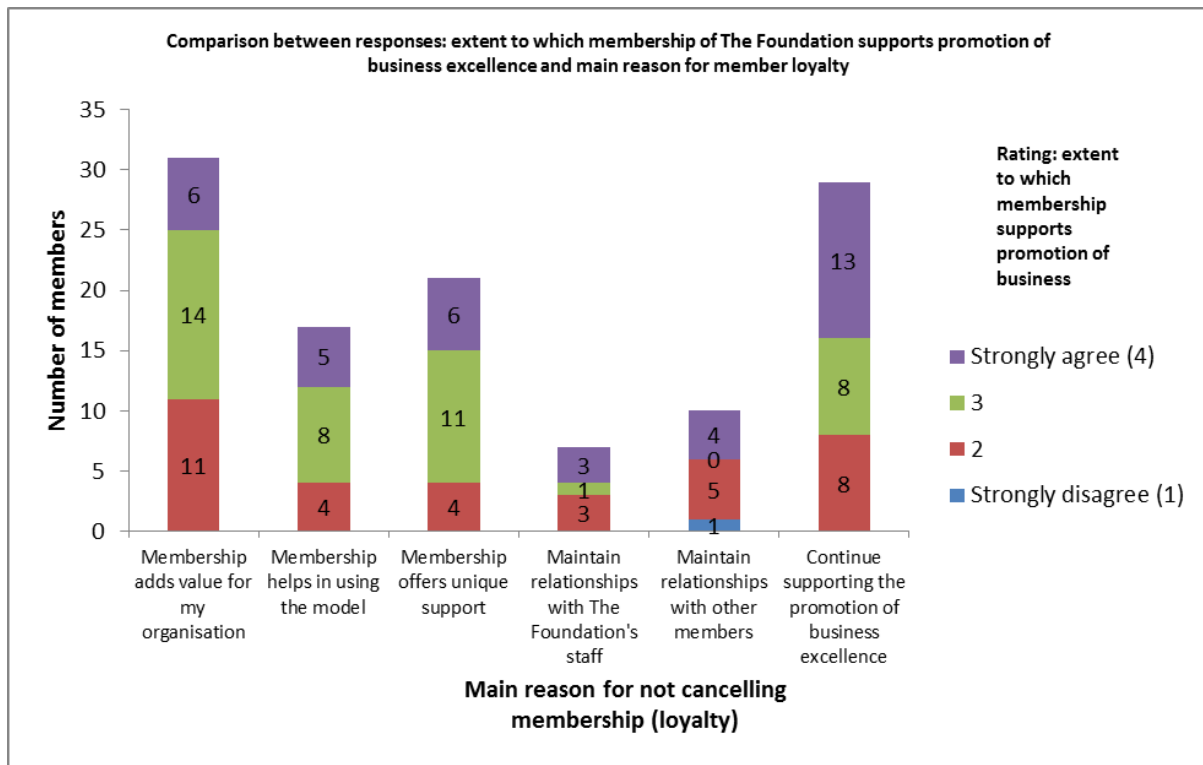


Figure 15: Comparison between responses: extent to which membership of The Foundation supports the promotion of business excellence and the main reason for member loyalty

Figure 15 compares the responses for Questions 11 and 20, from 115 members who answered both questions. Those member organisations that agreed/strongly agreed that membership of The Foundation helps to support the promotion of business excellence around the world (ratings 3 and 4), indicated more frequently than for other reasons that continuing to support the promotion of business excellence was the main reason for their loyalty. However, this reason was the second most frequently selected overall (29 members), just behind the most selected reason “Membership adds value for my organisation” (31 members).

The results in Figures 14 and 15 help to answer the research question in two ways: firstly, some members indicated that membership of The Foundation adds value. Secondly, some members have indicated that supporting the cause is the main reason for their loyalty. These results are not conclusive, but they are supported by qualitative data from the questionnaire and interviews.

Qualitative Data from the Questionnaire Responses

47 (37%) of respondents added at least one supporting comment in the free text boxes of the questionnaire.

The following three tables present the main themes that emerged from the comments. Where relevant, the link to relevant literature is indicated.

Table 7: Qualitative data from questionnaire – social media

Theme	Specific Points Raised
Social media have not replaced a key service of member organisations in general, or The Foundation in particular.	Social media have made it easier to connect to individuals and organisations, but they cannot be used for building <i>relationships</i>. The third party “broker” is still important (Hudson, 2009; Kanter and Fine, 2010) Social media present an <i>opportunity</i> to <i>add value</i>, but member organisations need to <i>adapt</i> the way they operate and offer services to take advantage of this opportunity (Taylor, 2009; Glendinning Hall, 2009; Qualman, 2011) The Foundation is <i>not using social media well</i>, even though the introduction of e.g. Linked In™ groups is a step in the right direction.

Analysis

The above theme relates directly to one of the research objectives and suggests that social media have not substituted the core competences of The Foundation. This supports the conclusions of Hudson (2009) in particular, who believes that member organisations still have an important role.

Table 8: Qualitative data from questionnaire – passion for the cause

Theme	Specific Points Raised
Passion for the cause (business excellence).	It is important to keep the business excellence approach alive, in the face of other management “fads”. Therefore, it is important for The Foundation to <i>promote business excellence</i> and to engage with other relevant organisations to <i>further this cause</i> (Crutchfield and McLeod, 2008; Neff and Moss, 2011: collaboration with other organisations) One member cited the promotion of (and support for) business excellence as a <i>key objective of membership</i> (Collins, 2006: passion for the cause).

Analysis

The second specific point raised in Table 8 is related to one of the research objectives and suggests that there is a link between “supporting the cause” and member loyalty. This resonates with Collins (2006). Although this was an isolated comment in the questionnaire, similar remarks were made in the interviews.

Table 9: Qualitative data from questionnaire – value of member organisations

Theme	Specific Points Raised
Value of membership organisations and of The Foundation in particular.	The following add value to the services of member organisations: • Brokering relationships and networking (Hudson, 2009) • Creating a common understanding, trust and values • Access to knowledge and expertise (Johnson et al, 2008; Eisenhardt and Santos, 2001)

	and the following <i>would</i> add value to The Foundation's membership offer: • Benchmarking (which is offered but not actually done) • Research reports and case studies which demonstrate the benefits of membership and recognition/winning the annual prize • More visibility for members • More visibility of The Foundation.
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Analysis

The above relates to the main theme, research question and objectives and suggests that The Foundation's membership offer already adds value and could add even greater value. However, it cannot be overlooked that many free text answers in the questionnaire criticise The Foundation for poor service and a lack of focus on member needs. As these comments were reflected in the interviews, this point will shortly be discussed further.

Qualitative Data from the Interview Transcriptions

From the interviews, 69 separate points emerged that were worthy of note. These were compared and subsequently grouped, according to:

- their relevance to the research question and objectives
- their relevance to the existing literature reviewed for this paper
- their usefulness to The Foundation in general, as feedback on issues not directly related to this study.

The points from the last group are neither presented nor analysed, as they deal with issues that fall outside the scope of the research.

Table 10 below shows the main themes that emerged from the interviews. The numbers in brackets indicate the number of interviewees (out of a possible total of 8) that raised the point. The researcher's own words have been used to summarise the original comments.

Table 10: Themes from the interviews

Reason for Selection	Theme	Main Point Raised	
Directly relates to research question objectives	Value created by The Foundation's membership offer	Membership adds value (1) Personal relationships and contacts with The Foundation add value (5) Personal contacts with other members adds value (6) The Foundation's own and/or access to knowledge and expertise add value (5) The Foundation's value proposition is not clear (3) Declining membership is reducing value (1) The Foundation does not add value (1) The Foundation provides a "non-essential" service (3)	
	Social media	Main Point Raised	Related Points
		Social media have not replaced organisations like The Foundation (7)	The Foundation is not using social media fully or well (1) Information found in social media is not always valid/cannot be trusted. The Foundation could add value by filtering the "good from the bad" (3) Sharing through social media offers no "pay-back" (1) Social media are superficial and do not offer solutions. They are not as effective as a member organisation (4) There is no role for social media in The

			Foundation's membership offer (1) Social media have made it easier to connect (1) Personal relationships are not made via social media (3) Using social media could add value to The Foundation's offer (1) Social media present an opportunity for member organisations (2)
	Link between passion for the cause (promotion of business excellence) and member loyalty	Main Point Raised Passion for the cause (promoting business excellence) and wanting to be part of the club are indeed reasons for member loyalty (1)	Related Points The pride that comes from being associated with a good brand adds value (1) Membership offers a way to share passion for the cause and emotion, and make something happen (3)
	What else would add value?	Personal service (2) Finding new members and retaining existing ones (5) Greater visibility of The Foundation (1) More case studies about smaller organisations (2) Closer co-operation with national partner organisations (1)	
Relates to existing literature reviewed for this paper	Strategy, value proposition	Organisations need to have a vision and long-term strategy (1) Organisations need to add value (4) Customers are only interested in price and value (1) Organisations must state the value proposition (1) The Foundation/organisations cannot serve everyone (2)	
	External environment, market, strategic capability, inimitability	The Foundation offers unique support (1) The Foundation has competition from consultants, certification bodies, education and training organisations, other management/improvement approaches, other associations and member organisations (4)	

		External environment of The Foundation is important but has not been considered or analysed (2)
	Innovation	Organisations need to be innovative, flexible and adaptable (1)
	Brand	Developing a brand is very important (4)

Analysis

The data from the interviews address the research question and all of the objectives as follows:

- On the whole, the comments imply that The Foundation *could* create value for its members. However, a recurring comment indicates that the value proposition is not clear. This comment was also made in the questionnaire so the issue will be re-visited in the conclusions and recommendations.
- The comments strongly imply that social media have not substituted the core competences of The Foundation in its market. However, other sources of competition appear to be eroding its competitive advantage as will be discussed further.
- The comments suggest that having a passion for promoting business excellence is important and is a factor in member loyalty. However, the comments also suggest that loyalty is easily eroded and in any case it does not obviate the need for value.
- The comments suggest that there are opportunities to further add value to members, by adapting/improving the offer.

The data from the interviews support the existing body of knowledge in the field as follows:

- Strategy, creating value and having a value proposition are important (Johnson et al, 2008; Kaplan and Norton, 2001; Golub and Henry, 2000)
- Organisations need to be aware of and adapt to their external environment (Johnson et al, 2008; Porter, 1980)

- Strategic capability is developed by having resources and competences and these can create competitive advantage when they are unique and inimitable (Johnson et al, 2008)
- Organisations need to innovate and adapt (Isaksen and Tidd, 2006)
- Building a brand is very important (Collins, 2006).

Chapter 5: Discussion

The above chapter presented the key results and introduced a number of issues that begin to answer the questions posed by this research. These will now be considered in more detail and their pertinence will be further clarified.

Member Organisations Can Add Value

The data from the sample imply that member organisations still have an important role, particularly in brokering relationships and providing specialist knowledge and expertise (Hudson, 2009). These organisations need to adapt services to take account of developments in the external environment in general (Johnson et al, 2008), substitution from other sources (Porter, 1980), and the opportunity presented by social media (Taylor, 2009; Qualman, 2011). To be successful, they need to be clear about what they are offering and to whom and the value proposition makes this clear, not only to the organisation itself but to the target customer (Kaplan and Norton, 2001). As The Foundation is a non-essential service, the value proposition needs to be obvious to existing and potential members.

Social Media Have Not Replaced Member Organisations In General, or The Foundation In Particular

The data demonstrate that the core competences of The Foundation have not been substituted by the new phenomenon of social media. This does not mean that Porter (1980) developed a flawed model with his *Five Forces Framework*. It simply means that “substitution” does not apply in the case of The Foundation and social media. On the other hand, the results strongly imply that social media presents an opportunity (Taylor, 2009; Kanter and Fine, 2010; Qualman, 2011) and that The Foundation is not using social media well. In particular, smart use of social media could add value if The Foundation exploited it to manage on-line communities (Taylor, 2009; Qualman, 2011), increase member engagement (Neff and Moss, 2011) and filter and validate the information (Holbeche, 2006) that is shared using social media.

While Social Media is an Opportunity, *Other* Substitutes Pose a Threat

The interview data strongly imply that The Foundation has competition from sources which do not provide a directly competing service, but which are perceived in the market to satisfy a similar need to the one satisfied by membership of The Foundation. In this way, it appears that there is a threat of substitution (Porter, 1980). Moreover, interview data suggest that The Foundation has become complacent and failed to monitor the external environment in order to adapt its strategy (Johnson et al, 2008). Interviewees also observed that The Foundation has no focus or discipline (Collins, 2006; Beer, 2009) and that the brand (Collins, 2006) is perceived as outdated. These are contributing to the loss of strategic capability and competitive advantage (Johnson et al, 2008).

Supporting the Cause is Linked to Member Loyalty

On this issue, the results are inconclusive in that while the questionnaire data suggest a superficial connection between the passion for promoting business excellence (the “cause”) and member loyalty, interview data suggest that any apparent connection is obscured by other factors, such as:

- the level of enthusiasm for business excellence as an approach
- the level of tolerance of perceived lack of value of membership
- the length of membership (value, tolerance and enthusiasm seem to decline over time).

The issue is further confused by the fact that the membership experience is enhanced by the active engagement of members and it leads to an unusual relationship, where members become *value-creators* as well as *value-recipients*. In short, the more they engage, the more they are likely to benefit. So is passion linked directly to loyalty, or is it rather that passion motivates engagement, which in turn delivers benefit and value, which leads to loyalty? The results seem to be suggesting a link, so Collins (2006) appears to have correctly concluded the importance of igniting passion. However, from the interviews, it seems that passion alone does not maintain loyalty. It is useful and can be exploited by The Foundation – particularly when linked to the brand (Collins, 2006; Memberwise, 2011). However, if membership adds no perceived value (Kaplan and Norton, 2001) then passion is not likely to prevent a membership cancellation.

Changes Could Add Value to The Foundation's Membership Offer

With regard to the research objective relating to the identification of changes that could add value to the membership offer, almost everything that was suggested both in the questionnaire and the interviews, relates to the *existing* offer. There are three important observations here, well supported by the data.

1. The value proposition is not sufficiently clear to the members (Kaplan and Norton, 2001). Some members appear to be unaware that The Foundation already offers the features they proposed as innovations for the future.
2. The organisation is not currently delivering membership and its related services to the satisfaction of all members. Indeed the qualitative data suggest that behind an offer that adds value in principle (according to the quantitative data) and indeed should add value according to Hudson (2009), there is a problem of inconsistent and inadequate service delivery, that is failing to meet the expectations of the members and indeed failing to fulfill the offer advertised by The Foundation itself.
3. Value is linked to reputation and brand (Collins, 2006) and both of these are related to passion and pride (Collins, 2006; Crutchfield and Grant; 2008; Memberwise; 2011, Qualman, 2011).

In addition to the above, the data strongly imply that member engagement is critical to value creation (Taylor, 2009; Neff and Moss, 2011), both in terms of the benefit engagement provides to the member choosing to engage, but also to the rest of the community, the members of which benefit from each other's engagement.

The qualitative data strongly imply that an increase in members would add value and the reverse also applies: declining membership decreases value. The smaller the pool, the smaller the opportunity for learning, sharing and best practice and the long-term trend in membership decline actually discourages the members that are left to stay.

Finally, better use of social media would add value. Contrary to posing a threat, this was frequently cited as an opportunity for The Foundation, one that could in particular address the issue of community building (Kanter and Fine, 2010; Qualman, 2011).

Chapter 6: Conclusions and Recommendations

This research was trying to establish whether:

- The Foundation can create sufficient value to sustain membership as its key revenue generator
- Social media have substituted the core competences of The Foundation in its market
- Supporting the cause remains a reason for member loyalty
- Changes could add value to the membership offer.

The following conclusions answer the research questions:

1. The Foundation could create sufficient value to sustain membership as its key revenue generator.

However, it is not doing so at the moment. Declining membership will only exacerbate the perception that the organisation has “had its day”, and will also have a detrimental influence on the loyalty of existing members, whose goodwill cannot be counted on to secure their subscriptions indefinitely. Moreover, as membership seems to have a limited period of value - the benefit appearing to wane over time - The Foundation needs to plan for expected attrition and ensure that more members are recruited each year than are lost.

Related to this, The Foundation needs to be clear about its value proposition. It is not clearly understood what The Foundation is trying to offer and to whom. This needs to be addressed *before* The Foundation can start to tackle its declining membership, apparent loss of competitive advantage and strategic capability.

Recommendation: Review the value proposition and make it clear to existing and potential members what The Foundation offers and to whom.

2. Social media have not replaced the core competences of The Foundation.

Far from being a threat, social media present an opportunity to *improve the visibility and brand* of the organisation, *increase member engagement*, tap into the *passion for business excellence*, *find new members* and *add value*. The Foundation could maximise this

opportunity by actively monitoring and validating the information and opinions that can be found on relevant social networking sites, The Foundation's own discussion forum and other relevant media such as wikis. By largely ignoring what is being said about the organisation and its excellence model on the one hand and the field of business excellence and improvement on the other, The Foundation is missing this opportunity. It is also failing its members, many of whom regularly use social media and some of whom – as participants in this research - explicitly called for the intervention of The Foundation's experts (which include individuals from the membership) to sort "the good from the bad" in terms of the content of social media. In addition, The Foundation could improve its *community building* with smart use of social media.

Recommendation: Review the use of social media and provide/divert resources to extend The Foundation's current use of these media from mainly one-way communication (from The Foundation to its community) to active engagement with social media users, interactive communication and intervention to improve and validate relevant social media content.

3. There is a connection between "supporting the cause" and member loyalty.

However, member loyalty cannot be relied on to prevent the cancellation of membership when the subscription is no longer adding value. Furthermore, the goodwill of some members is being tested by the lack of acknowledgement on the part of The Foundation of member contributions and expertise on the one hand and the lack of response to member needs, specific requests and suggestions on the other. Better use of social media (see above) is one way of tapping into the loyalty that already exists within the membership and engaging and motivating those members that could be converted from being passive or even disgruntled members into evangelists. However, The Foundation also needs to put the focus back on its members and acknowledge not only their importance as *value-recipients*, but also as *value-creators*.

Recommendation: Put the focus back on members and improve customer care. Give greater visibility to members in general and recognise the specific contributions made by those members that have shared valuable knowledge and expertise, and/or have helped The Foundation and its members in other ways.

4. Changes could add value to the membership offer.

However, radical innovation is not needed at this stage. Indeed, simply implementing the first three recommendations outlined above will already increase value for existing members and make the offer more attractive to potential members. A clear value proposition, smart use of social media and member-focused support and recognition have already been emphasised as critical to the sustainability of membership. In addition to “doing it better”, the study has highlighted two other issues that provide the basis for the final recommendations.

5. The Foundation has not acknowledged the threat of competition from alternative services that provide a choice in the market, where The Foundation hitherto believed it was alone.

While the organisation continues to offer a unique combination of resources and expertise, it has overlooked the fact that substitutes may satisfy the same need, in the eyes of its members. Although members continue to acknowledge that substitutes might not offer *exactly the same expertise*, they nevertheless believe that their *needs can be met* by alternative products and services and that they have a choice. Members also cited constraints on budgets, which makes discretionary expenditure, such as membership of The Foundation, more likely to be cut.

Recommendation: Introduce regular monitoring of the external environment and the market in particular. Use this intelligence to adapt quickly and appropriately.

6. The brand and image of The Foundation are weak. Even some interviewees who believed that their membership added value, spontaneously cited the “tired” image of The Foundation as one possible reason for membership decline. Brand and image are of great importance and they are linked to building passion and pride and the commitment of communities. Therefore, they are of critical importance to The Foundation.

Recommendation: Implement all of the above recommendations to help turn around the reputation, brand and image of The Foundation, which depend considerably on the value proposition, member engagement, visibility, member satisfaction and market position as identified above.

One final conclusion relates to the contribution of this study to the existing body of knowledge reviewed in this paper. The study concurs with previous research into value creation in

organisations, which found that a clear value proposition is essential (Kaplan and Norton, 2001). It also supports researchers on competitive advantage (Johnson et al, 2008) who found that securing a strong and sustainable position in the relevant market requires an organisation to acknowledge its evolving environment and competitors, (Porter, 1980; Johnson et al, 2008), exploit its unique resources and competences to distinguish itself from alternatives (Eisenhardt and Santos, 2001; Johnson et al, 2008), establish a strong brand that generates pride and loyalty (Collins, 2006; Memberwise, 2011) and finally continuously adapt and respond to change (Yukl and Lepsinger, 2004; Isaksen and Tidd, 2006; Sinfield et al, 2011). The study's findings on social media go further than previous research into non-profit organisations serving a social cause (Hudson, 2009) and further than anecdotal findings/opinion, which merely speculate on the extent to which social media have threatened key services of member organisations (Taylor, 2009; Maene, 2010). Indeed, this study finds that social media have not replaced key services of membership organisations.

However, as the sample came from only one organisation, validity cannot be claimed for the sector as a whole. The findings could form the basis of a hypothesis to be tested by further research, which could include a survey of members and leaders from other similar member organisations. Moreover, the results cannot be tested for statistical significance and although the quantitative and qualitative data appear to support each other, it cannot be claimed that the findings have a statistical basis.

Reflection on the Dissertation Process

Undertaking this research as a manager inside The Foundation was more challenging than I was expecting. Being known to the sample had its advantages but also meant that on occasions, I found that it was easy to get side-tracked, especially during the interviews. To manage this I kept in mind the context of the research and focused on the research questions, both during the data collection and the analysis afterwards.

The dissertation process helped me to learn to put assumptions aside and look beyond my version of reality. I think I developed some skills as a researcher, particularly improving my ability to handle the inevitable setbacks, finding levels of discipline and patience that surprised me. That said, I can improve as a researcher, particularly relating to planning and research design, which I now realise is critical to the success of a study.

The dissertation process has been so much more than merely producing a research report. It has been a significant personal development experience, which has given me the confidence to embark on the next phase of my journey through life.

I left The Foundation at the end of 2011 so I will not be involved in implementing the recommendations. However, I believe that a credible study has been undertaken, which identifies some of the changes leaders could make to ensure the long-term sustainability of the organisation.

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Appendix 1 – Questionnaire

The questionnaire on the following pages has been reproduced, replacing the organisation's name and all references that would identify it. The pseudonym has been used in this reproduction, whereas the organisation's actual name was used in the original questionnaire.

The reproduction has been saved from a scan and each page is a separate file in jpeg. format.

Introduction and instructions

This survey aims to find out the following:

1. The extent to which the services of membership organisations have been substituted by social media
2. The extent to which members are committed to The Foundation's mission to promote business excellence
3. The aspects of The Foundation's membership services that our members value
4. How the value of membership of The Foundation might be further improved in the future.

The study forms part of a Master of Arts dissertation, undertaken by Sue Arundale, from The Foundation.

All of The Foundation's member organisations and some former members have been invited to participate. Please give your views based on your experience as the The Foundation's representative for your organisation.

You have the option to remain anonymous. Individual responses will not be shared with The Foundation.

The overall results of the survey will be shared internally, in order to help The Foundation to learn, innovate and further increase the value of membership in the future.

The survey should take around 10 – 15 minutes. There is a maximum of 26 questions.

If you would like to preview the questions, you can click forward through each page and then click back when you are ready to start. Please do not click on the "Done" button until you are ready to submit your responses.

You can exit the survey without submitting by clicking on the "Exit the Survey" button at the top of the screen. If you exit before submitting, your data will not be saved.

If you have any questions please do not hesitate to contact Sue Arundale on +322 775 3553 or sue.arundale@thefoundation.org

Thank you very much for your time!

About your organisation

In order to identify which kind of organisation you represent, we would really appreciate your answers to the following question. For the purposes of the survey, Europe includes the EU, EU Accession or Candidate Countries (including Turkey), Russia; and the former Soviet Republics that form the Commonwealth of Independent States (CIS).

1. It would be very helpful if you could indicate which of the following best describes your organisation.

- ☐ A large private company with headquarters in Europe
- ☐ A large private company with headquarters outside Europe
- ☐ A large public sector organisation based in Europe
- ☐ A large public sector organisation based outside Europe
- ☐ A small private company based in Europe
- ☐ A small private company based outside Europe
- ☐ A small public sector organisation based in Europe
- ☐ A small public sector organisation based outside Europe
- ☐ A non-profit organisation based in Europe
- ☐ A non-profit organisation based outside Europe
- ☐ A consultancy company/individual consultant
- ☐ Other (please specify)

General Questions on Member Organisations and Social Media

These questions will help us to understand your views about membership organisations in general and the use of social media. The following definitions might be helpful:

Membership organisation: an organisation which offers membership to individuals or organisations, linked to a package of services which are paid for by subscription (e.g. annual, quarterly, monthly etc.). Examples include Foundations, Trusts, Charities, Clubs etc. Membership privileges often include access to other members in the organisation's community.

Social media: examples include on-line communities (e.g. Linked In groups), knowledge sharing sites (e.g. wikis/Wikipedia), personal on-line profiles and communication sites (e.g. Facebook, Twitter), blogs, Skype etc.

2. How important is the role of membership organisations in helping their members to build business relationships and networks?

Rating Not at all important (1) 2 3 Very important (4)

☐ ☐ ☐ ☐

Comment (Optional)

3. How important is the role of membership organisations in helping their members to share knowledge?

Rating Not at all important (1) 2 3 Very important (4)

☐ ☐ ☐ ☐

Comment (Optional)

4. How important is it that member organisations and their members have shared values?

Rating Not at all important (1) 2 3 Very important (4)

☐ ☐ ☐ ☐

Comment (Optional)

5. In your job, how often do you use the services of a membership organisation, to which you or your company pays a subscription?

- ☐ At least once a week
- ☐ At least once a month
- ☐ Less than once a month
- ☐ Never
- ☐ Do not know

6. How much do you agree or disagree that building business relationships and networks has been made easier by social media?

Rating Strongly disagree (1) 2 3 Strongly agree (4)

Comment (Optional)

7. How much do you agree or disagree that social media have replaced a key service of member organisations?

Rating Strongly disagree (1) 2 3 Strongly agree (4)

Comment (Optional)

8. How often do you use social media in your job?

- ☐ Every day
- ☐ At least once per week
- ☐ At least once per month
- ☐ Less than once per month
- ☐ Never

Comment (Optional)

Questions on the link between membership of The Foundation and a commitment...

These questions will help us to understand the extent of the link between your commitment to excellence and your motivation to be a member of The Foundation.

9. How much do you agree or disagree that membership of The Foundation enables your organisation to show its commitment to excellence?

Strongly disagree (1) 2 3 Strongly agree (4)

Rating ☐ ☐ ☐ ☐

Comment (Optional)

10. How important is it to your organisation that The Foundation continues to promote business excellence to organisations around the world?

Not at all important (1) 2 3 Very important (4)

Rating ☐ ☐ ☐ ☐

Comment (Optional)

11. How much do you agree or disagree that by being a member of The Foundation, your organisation is ultimately supporting the promotion of business excellence to organisations around the world?

Strongly disagree (1) 2 3 Strongly agree (4)

Rating ☐ ☐ ☐ ☐

Comment (Optional)

Questions on the value of Membership of The Foundation

These questions will help us to understand more about how you perceive the value of membership of The Foundation.

12. How much value does membership of The Foundation provide for your organisation?

Rating No value at all (1) 2 3 Provides a lot of value (4)

Comment (Optional)

13. Do you think that the value of membership of The Foundation has increased or decreased since your organisation originally joined?

- ☐ Increased
☐ Remained the same
☐ Decreased
☐ Do not know

Comment (Optional)

14. How well has The Foundation responded to changes in ways of building business relationships and networks, by adapting membership services to keep pace with these changes?

Rating Has not responded or adapted (1) 2 3 Has responded and adapted well (4)

Comment (Optional)

15. How much does membership of The Foundation help you to effectively implement the Excellence Model?

Rating Does not help at all (1) 2 3 Helps a lot (4)

Comment (Optional)

16. Do you think that social media have replaced a key service of membership of The Foundation?

- ☐ Yes
☐ No
☐ Do not know

Comment (optional)

17. It would be very helpful if you could indicate whether your organisation is:

- ☐ A member organisation
- ☐ A former member organisation

Questions for member organisations only

If your organisation is a member, it would be helpful if you could answer the following questions.

18. If your organisation wanted to reduce costs, how likely would you be to cancel your membership of The Foundation?

	Not at all likely (1)	2	3	Very likely (4)
Rating	☐	☐	☐	☐

19. What are the main reasons that your organisation continues to be member of The Foundation?

- ☐ Membership really adds value for my organisation
- ☐ Membership helps my organisation to use the Excellence Model
- ☐ Membership offers unique support that is not available from another source
- ☐ My organisation wants to maintain its relationships with The Foundation's staff
- ☐ My organisation wants to maintain its relationships with other members
- ☐ My organisation wishes to continue supporting the promotion of business excellence around the world

Other (please specify)

20. From your answers to question 19 above, which would be the reason most likely to prevent your organisation from cancelling its membership of The Foundation?

- ☐ Membership really adds value for my organisation
- ☐ Membership helps my organisation to use the Excellence Model
- ☐ Membership offers unique support that is not available from another source
- ☐ My organisations wants to maintain its relationships with The Foundation's staff
- ☐ My organisation wants to maintain its relationships with other members
- ☐ My organisation wishes to continue supporting the promotion of business excellence around the world

Other (please specify)

The Value of Specific Aspects of the Membership Package

If you are from a member organisation, it would be very helpful if you could answer the following questions:

21. Please rate the extent to which the following are valuable to your organisation:

	Not at all valuable (1)	2	3	Very valuable (4)	Not used/Do not know
The knowledge of The Foundation's staff	☐	☐	☐	☐	☐
A dedicated support person at The Foundation	☐	☐	☐	☐	☐
Relationships in general with The Foundation's staff	☐	☐	☐	☐	☐
Member-only events, such as the Learning Edge	☐	☐	☐	☐	☐
Monthly newsletter	☐	☐	☐	☐	☐
Member-only database of knowledge, good practice, case studies, assessment tools, guides etc. (Knowledge Base)	☐	☐	☐	☐	☐
Brokering of relationships with contacts in other member organisations	☐	☐	☐	☐	☐
Discount on The Foundation's services: training, assessment, recognition	☐	☐	☐	☐	☐
Benchmarking	☐	☐	☐	☐	☐
Communities of Practice (small networking groups of members sharing knowledge on specific themes.)	☐	☐	☐	☐	☐

Other (please specify)

22. Please rate the extent to which the following would add value to your membership:

	Would add no value (1)	2	3	Would really add value (4)	Do not know
Allowing non-member organisations to participate in the annual Excellence Awards as an applicant organisation	☐	☐	☐	☐	☐
Joint membership with a relevant national excellence foundation in my own country	☐	☐	☐	☐	☐
Growth in the number of members from Europe	☐	☐	☐	☐	☐
Growth in the number of members from outside Europe	☐	☐	☐	☐	☐
Positioning of The Foundation as a global excellence foundation	☐	☐	☐	☐	☐
More support for smaller organisations.	☐	☐	☐	☐	☐

Other (please specify)

Former member organisations only

If your organisation has recently cancelled its membership of The Foundation, it would be very helpful if you could answer the following questions. If your organisation is still a member of The Foundation, please skip this section and click on the "next" button on the bottom of this page, to go to the last page of the survey.

23. How much do you agree or disagree that the main reason for the cancellation of your membership was that your organisation did not get value from the annual subscription?

	Strongly disagree: lack of value was not the reason (1)	2	3	Strongly agree: lack of value was the main reason (4)
Rating	☐	☐	☐	☐

Comment (Optional)

24. Is your organisation still using the Excellence Model?

- ☐ Yes
- ☐ No
- ☐ Do not know

Comment (Optional)

25. Is your organisation still using other services of The Foundation, such as training, assessment and recognition?

- ☐ Yes
- ☐ No
- ☐ Do not know

Comment (Optional)

About you

Thank you very much for your time and information.

Following this survey, we hope to interview a number of organisations, to get a deeper understanding of the extent to which membership of The Foundation is adding value at the moment, and of how value could be increased in the future. If you agree to be contacted in confidence, please leave your contact information as follows:

26. Your contact details:

Your name and job title	
The name of your organisation	
Your email address	
Your telephone number	

Appendix 2 – Format and Questions from the Semi-Structured Interviews

Opening formalities and introduction of researcher and interviewee	This part of the interview was tailored to suit the level of previous acquaintance of the researcher and the interviewee
Aims of the research	The researcher outlined the aims of the research and briefly explained the context
Role of the researcher within the organisation	This explanation was adapted to suit the level of previous acquaintance of the researcher and the interviewee
Confirmation of confidentiality	The interviewee was advised that the recording would not be heard by anyone other than the researcher and the subsequent transcription would not be seen by anyone other than the researcher. The interviewee was asked whether there were any circumstances under which he/she could be quoted by the researcher
Brief description of the interview process and expected time required	The interviewee was advised that he/she could interrupt the researcher at any time and was encouraged to ask for clarification if anything was not clear
Opening question, to ease the start of the interview	Could you please briefly outline your role within your organisation?
Question 1: <i>Context (read to interviewees as follows):</i> The majority of people that responded to the questionnaire have indicated that supporting the promotion of business excellence is important to them, and that being a member of The Foundation helps them to do that. (NB: Pseudonym used here). Interviewee's specific relevant questionnaire answers referred to and checked before asking the question in the opposite cell, which was adapted according to the interviewee's questionnaire answer.	<i>Question:</i> In your opinion, why is it important/unimportant for your organisation to support the business excellence movement? (NB: Question was further explained if necessary).

Question 2: <i>Context:</i> The majority of people that responded to the questionnaire indicated that although social media have made it easier to build business relationships and networks, they don't think that social media have replaced either a key service of member organisations in general, or of The Foundation in particular. Interviewee's specific relevant questionnaire answers referred to and checked before asking the question in the opposite cell, which was adapted according to the interviewee's questionnaire answer.	<i>Question:</i> Is it that social media have not replaced a key service of The Foundation or member organisations in general, because information, networking and building relationships are not key services? Is it that social media cannot do these things as effectively as a member organisation, or is it something else? (NB: Question was further explained if necessary).
Question 3: <i>Context:</i> The majority of responses to the questionnaire have suggested that membership of The Foundation is valuable. Interviewee's specific relevant questionnaire answers referred to and checked before asking the question in the opposite cell.	<i>Question:</i> With this in mind, do you have any theories as to why membership has been declining for the past 10 years?
Question 4: <i>Context:</i> Most members are saying that if they had to cut costs, they probably would cancel their membership of The Foundation. Interviewee's specific relevant questionnaire answers referred to and checked before asking the question in the opposite cell.	<i>Question:</i> What other items of expenditure would compete with membership of The Foundation, to stay in your budget if you had to cut costs?
Question 5:	<i>Question:</i> What would you do to innovate the membership offer?
Question 6:	<i>Question:</i> What else do you think I should be trying to find out in this research?